

Contentious Chamber

Decision on the merits 87/2024 of June 3, 2024

File number: DOS-2022-04748

Subject: Complaint for non-compliance with the right to erasure and objection after receiving commercial messages for direct marketing purposes

The Contentious Chamber of the Data Protection Authority, composed of Mr. Hielke HIJMANS, president, and Messrs. Romain Robert and Frank De Smet, members;

Considering Regulation (EU) 2016/679 of the European Parliament and of the Council of April 27, 2016, on the protection of natural persons with regard to the processing of personal data and on the free movement of such data, and repealing Directive 95/46/EC (General Data Protection Regulation), (hereinafter "GDPR");

Considering the Law of December 3, 2017, establishing the Data Protection Authority (hereinafter "LCA");

Considering the internal regulations as approved by the House of Representatives on December 20, 2018, and published in the Belgian Official Gazette on January 15, 2019;

Considering the documents in the file;

Has made the following decision regarding:

The complainant:

X, hereinafter "the complainant";

The defendant: Company Y, hereinafter "the defendant".

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I. Facts and Procedure

1. On November 18, 2022, the complainant filed a mediation request with the Data Protection Authority (hereinafter "DPA") against the defendant, which transformed into a complaint on February 14, 2023, due to the defendant's lack of response.

2. The complaint concerns the receipt of regular and unsolicited commercial messages for direct marketing purposes from the defendant, despite the complainant exercising his right to erasure and objection.

3. On June 30, 2022, the complainant, having purchased products from the defendant through its representative, discovered an unexpected charge of €1.50 related to an "energy contribution" on his invoice dated May 31, 2022. Faced with the defendant's refusal to refund this surcharge, the complainant requested the deletion of all his personal data. He sent this request via email to the address "...", indicating that he no longer wished to be a customer of the defendant.

4. On July 1, 2022, the defendant acknowledged receipt of the complainant's requests and confirmed a prompt processing of them.

Despite the assurance given by the defendant regarding the consideration of the requests made on June 30, 2022, the complainant continued to receive advertising communications from the defendant.

5. On November 18, 2022, the complainant requested a mediation procedure from the First Line Service (hereinafter "SPL") of the DPA. In the request form sent to the DPA, the complainant reiterated his wish to no longer have commercial relations with the defendant, explaining: "[...] I therefore requested a refund that I did not receive, I then asked, on July 1, for all my data to be deleted as I would never order from them again. [...] Today, 4 and a half months later, I still receive advertising messages."¹

6. On November 24, 2022, the SPL confirmed receipt of the mediation request and declared it admissible.

7. On December 7, 2022, the SPL informed the defendant of the mediation request, inviting it to respond to the complainant's request regarding the exercise of his rights, and to send a copy of its response to the SPL.

8. On January 11, 2023, the complainant requested an update on the mediation request and informed the SPL that he continued to receive calls and emails from the defendant. On January 13, 2023, the SPL responded, indicating that the case was being processed, that a

1 Document 1 – The mediation request and its annexes.

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A letter was sent to the defendant on December 7, 2022, granting her a one-month period to respond, and a reminder would be issued to the defendant.

9. On January 17, 2023, the SPL sent a registered letter with acknowledgment of receipt to the defendant, inviting her to respond to the initial request of December 7, 2022.

10. On February 14, 2023, due to the absence of a response from the defendant, the SPL informed the complainant that he could convert his request for mediation into a complaint in accordance with Article 62, §2, paragraph 4 of the LCA. The complainant requested this transformation on the same day.

11. On February 20, 2023, the SPL notified the defendant that the mediation had failed due to her lack of response, and then forwarded the complainant's complaint to the Contentious Chamber in accordance with Article 62, §1 of the LCA.

12. On May 15, 2023, the Contentious Chamber decided, under Article 95, §1, 1° and Article 98 of the LCA, to address the case on the merits. The parties concerned were notified by registered mail of the provisions as set out in Article 95, §2 as well as Article 98 of the LCA. They were also informed, pursuant to Article 99 of the LCA, of the deadlines for submitting their conclusions. On the same day, the Contentious Chamber specified that the language of the proceedings would be French, in accordance with the language policy. On May 15 and 19, 2023, the defendant and the complainant acknowledged receipt of the letter, respectively.

The deadlines were established as follows: June 26, 2023, for the defendant's response conclusions; July 17, 2023, for the complainant's reply conclusions; and August 7, 2023, for the defendant's reply conclusions.

13. On September 29, 2023, in the absence of conclusions submitted by the parties, the Contentious Chamber summoned, in accordance with Article 52 of the ROI, the concerned parties to a hearing on October 12, 2023, to allow them to present their arguments orally. The defendant confirmed her attendance on October 3, 2023, while the complainant expressed his inability to attend the hearing in an email dated October 11, 2023.

14. On October 12, 2023, the defendant was heard by the Contentious Chamber. During this hearing, the defendant presented the following arguments:

a) The responsibility of the Data Protection Officer (hereinafter "DPO"): issues with the APD began under the management of the former DPO, Mr. Z1 (hereinafter "the former DPO"). Neither the current DPO, Mr. Z2 (hereinafter "the current DPO"), nor the management were aware of these issues. The defendant justified the former DPO's lack of response due to his workload, emphasizing that management was not informed of this overload.

b) Inadequate management of correspondence: the former DPO did not handle the correspondence from the APD or the complainant and did not share this information internally. The former DPO took measures to limit the processing of the complainant's data without communicating with the complainant or the APD.

c) The data deletion process: the defendant described the process of deleting the complainant's personal data, explained the former DPO's error, mentioned the confusion surrounding the location of the data and "code 43," and committed to complying with the GDPR by informing the complainant of the deletion of his data.

d) Responsibility for data processing: the responsibility for data processing between "Y BELGIUM" (hereinafter "the defendant") and "Y GERMANY" (hereinafter "the German subcontractor") was discussed, with reference to a subcontracting agreement.

e) Organizational improvements: the contract of the former DPO ended, and the current DPO works full-time with a team of two people to manage the email "privacy@Y.be." The defendant committed to taking initiatives to improve her responsiveness and comply with the decisions of the APD.

15. On October 27, 2023, the Contentious Chamber submitted the minutes of the hearing to the parties.

16. On November 3, 2023, the defendant provided clarifications to the minutes to the Contentious Chamber, which will be taken into consideration in this decision. The defendant also requested that, given the specific circumstances of the case, the Contentious Chamber either opts for a suspension of

the ruling, as permitted by Article 100, §1, 3° of the LCA, or for a warning or reprimand under Article 100, §1, 5° of the same law.

17. On November 11, 2023, the defendant notified the Contentious Chamber, after the closure of the debates, that she had received an email from the German subcontractor confirming the deletion of the complainant's data, and that she had sent an email to the complainant to inform him of this deletion.

18. On March 15, 2024, the Contentious Chamber informed the defendant of its intention to impose an administrative fine as well as the amount of it, in order to give the defendant the opportunity to defend herself before the sanction is actually imposed.

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19. On April 5, 2024, the Contentious Chamber received the defendant's response regarding the intention to impose an administrative fine and the amount thereof. This response is examined by the Contentious Chamber as part of its deliberations.

II. Motivation

II.1. Preliminary Points

II.1.1. On the Joinder of Files

20. During the hearing, the defendant emphasized that it was the subject of an investigation conducted by the Inspection Service (hereinafter "IS") of the APD in the context of a separate file. This assertion was reiterated in its response to the hearing report of November 3, 2023.

21. On April 5, 2024, in its response to the sanction form dated March 15, 2024, the defendant requested the joinder of the file (...) (subject of the IS investigation) with the current file subject to this decision.

22. First, it should be reminded to the defendant that the IS is bound by the confidentiality of the investigation, in accordance with Article 64 §3 of the LCA, which specifies that "the investigation is confidential except by legal exception, until the moment of the submission of the inspector general's report to the Contentious Chamber."

23. Second, the Contentious Chamber emphasizes that it does not have the power to initiate an ongoing investigation conducted by the IS. It refers the defendant to Article 92 of the LCA for the conditions of referral. This article specifies that the IS may refer the Contentious Chamber after the closure of an investigation in accordance with Article 91 §2 of the LCA.

24. Third, the Contentious Chamber reminds that the sanction form aims to allow the alleged author of the infringement, in this case the defendant, to express its view on the proposed amount of the fine before its imposition and effective execution. This defense process, provided through the sanction form regarding the proposed amount of the fine, does not open new debates on the findings already established by the Contentious Chamber, which are closed.

25. In conclusion, the Contentious Chamber rejects the request to join the file (...) with the current file subject to this decision.

4 In its response to the hearing report of November 3, 2023, and to the sanction form of April 5, 2024, the defendant specifies that the file subject to inspection corresponds to the referenced file number (...).

5 Sanction form dated March 15, 2024; defendant's response to the sanction form dated April 5, 2024.

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II.1.2. On the Interpretation of Article 21.2 of the GDPR

26. In this case, the Contentious Chamber notes that the complainant submitted a request for deletion (total removal of his data) on June 30, 2022, by revoking his consent, in accordance with Article 17.1.b) of the GDPR. Furthermore, it is clear from the reading of the complainant's request that he expresses a firm intention to terminate any commercial relationship with the defendant. To the extent that the complainant exercised his right to deletion under Article 17.1.b) of the GDPR by revoking his consent, the defendant should have complied with the deletion request, removed all personal data of the complainant, and ceased direct marketing, since the legal basis invoked for this data processing is consent.

27. Next, the Contentious Chamber emphasizes that Article 21 of the GDPR covers two different forms of the right to object. On the one hand, in Article 21.1, there is a possibility to object to processing

based on the legitimate interest of the data controller or on a task carried out in the public interest by the data controller (general objection subject to a balancing of interests).

28. On the other hand, pursuant to Article 21.2, the data subject has the right to refuse any processing of his data for direct marketing purposes (objection to direct marketing), thereby indicating that he does not consent to receive marketing communications. When the purpose pursued by the data controller is direct marketing, the right to object is automatic: the data controller can no longer process the data for such purposes, including profiling, to the extent that it is related to that purpose, when the data subject has expressed his objection.

29. The Contentious Chamber takes the position that Article 21.2 applies at all times, since Article 21.2 grants an unconditional right to the data subject to object "at any time" to the processing of his personal data for prospecting purposes, including profiling to the extent that it is related to such prospecting. The exercise of the right under Article 21.2 is not subject to any conditions. This article applies regardless of the legal basis for the processing, and without requiring a balancing of interests. This position can also be deduced from the distinction between recitals 69 and 70 of the GDPR.

30. The Contentious Chamber admits that a different reading of Article 21.2, whereby this provision would be limited to the same legal bases for processing as Article 21.1 GDPR [Article 6.1.e) and Article 6.1.f)], is not excluded. However, such a reading does not...

6 See in this sense WP29, Guidelines on Automated Individual Decision-Making and Profiling for the purposes of Regulation (EU) 2016/679, WP251, rev.01, p.21; Zanfir-Fortuna in The EU General Data Protection Regulation (GDPR): A Commentary, OUP 2000, p. 518.

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would change nothing regarding the obligations of the defendant, as the withdrawal of consent under Article 17.1.b of the GDPR implies that all processing must cease.

31. The preceding points show that the withdrawal of consent (the legal basis invoked by the defendant to justify direct marketing) and the objection to the processing of data for direct marketing purposes should, in principle, lead to the same outcome: the immediate cessation of data processing for direct marketing purposes and the automatic deletion of that data.

II.2. Regarding the alleged breaches of the GDPR

II.2.1. Alleged violation of Articles 17 and 21 of the GDPR

II.2.1.1.

Position of the defendant

32. The following arguments were raised by the defendant solely during the hearing:

a) Regarding the deletion of the complainant's data, the process unfolded in several stages. Initially, the complainant complained about excessive energy costs, but this complaint evolved into a request to terminate the customer relationship and delete the data. The former DPO misinterpreted the situation, not understanding that it was a matter falling under the GDPR.

The former DPO then instructed the German subcontractor to delete the complainant's data, using "code 43." However, this code did not result in the complete deletion of the data. The current DPO admitted that "code 43" was intended to limit processing rather than delete the data, acknowledging an error by the former DPO.

Despite the implementation of "code 43" to limit data processing and the cessation of commercial calls to the complainant, the sending of newsletters persisted until December 2022. The defendant specified that the complainant had consented to receive these newsletters, which were managed by a separate network.

It was only in December 2022 that the former DPO rectified the situation in response to letters from the SPL, rendering the data inaccessible to the defendant, but they were still present and accessible to other entities, notably for tax control purposes. The current DPO regretted that the former DPO did not inform the complainant of this rectification.

As of the day of the hearing, the defendant could not guarantee that the data had actually been deleted, due to a lack of written confirmation from the German subcontractor on this matter. The current DPO proposed to contact the German subcontractor to verify the deletion of the complainant's data.

b) Regarding the request made by the current DPO concerning the obligation to inform the complainant of the measures taken in response to his request for data deletion, the Contentious Chamber recalled the provisions of Article 12 of the GDPR. In response, the defendant committed, during the hearing, to regularize the situation in accordance with Article 17 of the GDPR and to inform the complainant of the deletion of his data.

c) Regarding the location of the complainant's data and the identification of the data controller, the defendant raised that the SI was investigating these matters in the context of a separate file. Finally, the defendant indicated that it is the "sole" data controller, according to the information it possesses. 33. On November 3, 2023, in its response to the minutes of the hearing (hereinafter "response to the minutes"), the defendant specified that the former DPO had requested the activation of "code 43" for the complainant's data from the German subcontractor on April 11, 2023, a fact that he recorded in correspondence addressed to the SI on April 18, 2023, in the context of the ongoing Inspection (see Title II.1.1). However, the former DPO failed to inform the complainant and the SPL about this.

II.2.1.2.

Position of the Contentious Chamber

34. Article 17 of the GDPR establishes the right to erasure, which allows data subjects to request the deletion of their personal data if one of the following conditions is met: the data is no longer necessary for the purposes for which it was collected or processed (Article 17.1.a of the GDPR); the data subject withdraws consent on which the processing was based, and there is no other legal basis for the processing (Article 17.1.b of the GDPR); the data subject objects to the processing under Article 21.1, and there are no overriding legitimate grounds for the processing (Article 17.1.c of the GDPR); the data has been processed unlawfully (Article 17.1.d of the GDPR); the data must be erased to comply with a legal obligation (Article 17.1.e of the GDPR); the data has been collected from a child in relation to information society services (Article 17.1.f of the GDPR).

However, the right to erasure is not absolute. Article 17.3 of the GDPR provides certain exceptions in which this right does not apply, notably when the processing of data is necessary for the exercise of the right to freedom of expression and information (Article 17.3.a of the GDPR), to comply with a legal obligation or to perform a task carried out in the public interest (or in the exercise of official authority vested in the data controller) (Article 17.3.b of the GDPR), to carry out a task of public interest.

⁷See point 21 of this decision.

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public in the field of public health (art. 17.3.c) of the GDPR), for archival purposes (art. 17.3.d) of the GDPR), or to establish, exercise or defend rights in court (art. 17.3.e) of the GDPR).

35. Pursuant to Article 19 of the GDPR, the data controller is required to notify each recipient to whom the personal data has been communicated of any rectification or erasure of personal data or any limitation of processing carried out in accordance with Articles 16, 17.1 and 18 of the GDPR, unless such communication proves impossible or requires disproportionate effort. The data controller provides the data subject with information about these recipients if requested.

36. Article 21 of the GDPR governs the right to object of data subjects. When personal data is processed for prospecting purposes, the data subject "has the right to object at any time to the processing of personal data concerning him or her (...)" (art. 21.2 of the GDPR). If the data subject "objects to the processing for prospecting purposes, the personal data shall no longer be processed for those purposes." (art. 21.3 of the GDPR).

When a person objects to data processing for prospecting purposes (opposition to direct marketing), they do not need to provide any justification for their objection request. Therefore, the objection must immediately result in the cessation of any processing of personal data for direct marketing purposes for the data subject, without the need for further examination (see Title II.1.2).

37. Articles 15 to 22 of the GDPR are intrinsically linked to Article 12 of the GDPR, which imposes obligations on the data controller, particularly regarding the transparency of information and communications as well as the modalities for exercising the rights of data subjects (art. 17 juncto 12 of

the GDPR and art. 21.2 juncto 12 of the GDPR).

The exercise of these rights, in this case the right to erasure (art. 17 of the GDPR) and the right to object to direct marketing of the complainant (art. 21.2 of the GDPR) as well as the respect for these rights by the data controller, who must demonstrate their response to the requests of the

8 In the absence of a legal definition of the concept of prospecting, the DPA has defined it as "Any communication, solicited or unsolicited, aimed at promoting an organization or a person, services, products, whether paid or free, as well as brands or ideas, addressed by an organization or a person acting in a commercial or non-commercial context, directly to one or more natural persons in a private or professional context, by any means, involving the processing of personal data." See Recommendation No. 1/2020 of January 17, 2020, regarding the processing of personal data for direct marketing purposes, page 8, available on the DPA's website.

9 CJEU, *Google Spain and Google*, C-131/12, May 13, 2014, ECLI:EU:C:2014:317; CJEU, *Manni*, C-398/15, March 9, 2017, ECLI:EU:C:2017:197; CJEU, *Google*, C-507/17, September 24, 2019, ECLI:EU:C:2019:772; DPA, Contentious Chamber, Decisions 28/2020 of May 29, 2020, 32/2020 of June 16, 2020, 19/2021 of February 12, 2021, 109/2023 of August 9, 2023, 157/2023 of November 27, 2023, available on the DPA's website.

10 See Recommendation No. 1/2020 of January 17, 2020, regarding the processing of personal data for direct marketing purposes, page 53.

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The individuals concerned must be assessed and examined in accordance with the provisions of Article 12 of the GDPR.

38. Article 12 of the GDPR imposes on the data controller the obligation to take appropriate measures to communicate in a concise, transparent, understandable, and easily accessible manner, in clear and simple terms, all information¹¹ relating to the processing of personal data to the data subject, particularly when responding to the rights set out in Articles 15 to 22 of the GDPR (Art. 12.1 of the GDPR). When a data subject makes a request in accordance with Articles 15 to 22 of the GDPR, the data controller is required to respond within one month, with the possibility of a two-month extension, while informing the data subject of the reasons for this extension (Art. 12.3 of the GDPR). If no response is provided to the data subject's request, the data controller must promptly inform, and at the latest within one month from the receipt of the request, the data subject of the reasons for its inaction as well as their right to lodge a complaint with a supervisory authority or to seek judicial remedy (Art. 12.4 of the GDPR).

39. In conclusion, the failure of the data controller to comply with a request made under Articles 15 to 22 of the GDPR, particularly the right to erasure when the conditions of Article 17 of the GDPR are met, or the right to object when the conditions of Article 21.2 of the GDPR are satisfied, may result in a violation not only of Articles 17 and 21 of the GDPR but also of Article 12 of the GDPR due to non-compliance with the obligations of communication and information.

40. In this case, as mentioned above in Title II.1.2. of this decision, the Contentious Chamber notes that the complainant made their request for erasure (complete deletion of their data) on June 30, 2022, by revoking their consent, in accordance with Article 17.1.b) of the GDPR. Furthermore, it is clear from the reading of the complainant's request that they express a firm intention to terminate any business relationship with the defendant. In addition to requesting the complete deletion of their data (Art. 17.1.b) of the GDPR), the complainant firmly opposes the processing of their data for direct marketing purposes (Art. 21.2 of the GDPR). To dispel any doubt regarding the complainant's requests, the mediation request submitted on November 18, 2022, and communicated to the defendant on December 7, 2022, clarifies the complainant's requirements. These requirements pertain both to the erasure of their data under Article 17.1.b) of the GDPR and to the objection to the processing of their data under Articles 21.2 and 21.3 of the GDPR,

¹¹ GDPR, Art. 12.1.; This information may be provided in writing or by other means, including, where appropriate, electronically.

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which may lead to the application of Article 17.1 b) of the GDPR, as requested by the complainant.

41. In the present case, firstly, the Contentious Chamber notes, based on the statements made by the defendant during the hearing that took place on October 12, 2023, more than a year after the complainant exercised their rights, that the defendant has still not taken any concrete measures to respond to the complainant's request for erasure and objection. The Contentious Chamber wishes to emphasize that on November 11, 2023, the defendant notified the sending of an email to the complainant informing them of the deletion of their data, without providing proof or clearly specifying whether the objection request had been addressed. The Contentious Chamber has decided not to take this information into account in its deliberations as the debates had already been closed.

42. Secondly, the Contentious Chamber notes that the application of "code 43" by the defendant on April 11, 2023, limited access to the complainant's data within its system, but did not lead to their deletion. This measure restricted certain processing activities, notably phone calls, but did not interrupt the sending of newsletters, which continued until December 2022. Finally, the promise made by the defendant in an email dated November 3, 2023, even after the closure of the debates, regarding the deletion of the complainant's data, remains unsatisfactory in relation to the complainant's requests. The complainant had expressly opposed any further processing of their data, particularly for prospecting purposes, and had demanded the complete deletion of their data.

43. Thirdly, the Contentious Chamber notes an inconsistency in the chronology of events, as presented during the hearing on October 12, 2023, and in the email in response to the hearing report. It seems unlikely that the processing of data for direct marketing purposes ended in December 2022 when the defendant indicates that "code 43," which limited data processing, was only implemented in April 2023 (see point 33). This suggests that the complainant's data was accessible at least until April 2023 and not until December 2022. The Contentious Chamber adds that the complainant indicated on January 11, 2023, that they continued to receive calls and emails from the defendant (see point 8).

44. Fourthly, the Contentious Chamber emphasizes that the continued sending of newsletters, persisting at least until December 2022, if not until April 2023, despite the requests for erasure and objection made by the complainant on June 30, 2022, under the pretext of the existence of a separate system for managing advertising emails, cannot justify the continuation of the processing of the complainant's data for direct marketing purposes.

45. Fifthly, the Contentious Chamber understands that the defendant implicitly invokes the exception provided for in Article 17.3.b) of the GDPR, namely the retention of the complainant's data in the German IT system to comply with legal obligations, specifically "tax audits." The Contentious Chamber recalls that it was the defendant's responsibility to invoke one of the exceptions under Article 17.3 of the GDPR, to justify this invocation, and to inform the complainant of the non-erasure precisely because of this exception (Articles 12.1, 12.3, and 12.4 of the GDPR and Article 17.3 of the GDPR), which it did not do at that time. Nevertheless, the Contentious Chamber finds that this exception cannot justify the continuation of the processing of the complainant's data for direct marketing purposes, whether by telemarketing or email.

46. The aforementioned information reveals that the processing of the complainant's data continued for prospecting purposes despite the request for erasure and objection. This continuation indicates that the defendant not only failed to cease all processing of the complainant's personal data for prospecting purposes but also clearly did not delete the complainant's data in a timely manner nor inform them of the follow-up to their requests.

47. In light of the above, the Contentious Chamber concludes that the defendant has not complied with Articles 17 and 21 of the GDPR, while neglecting to meet the obligations of prompt, explicit, and transparent response and communication as stated in Articles 12.1, 12.3, and 12.4 of the GDPR.

II.2.2. Alleged Violation of Article 5.1.a) of the GDPR (Principle of Lawfulness, Fairness, and Transparency)

II.2.2.1.

Position of the Defendant

48. During the hearing, the defendant argued that the direct marketing activities and the sending of newsletters were based on user consent, obtained through a proactive opt-in mechanism with an easy unsubscribe option. Other types of processing were primarily based on the necessity of contract execution.

II.2.2.2.

Position of the Dispute Chamber

49. The principle of lawfulness is one of the key principles of the GDPR and solely conditions the triggering of the other principles of the GDPR governing the processing of personal data. According to this principle, personal data must be processed lawfully, fairly, and transparently in relation to the data subject. For the processing of personal data to be considered lawful, it must be based on the consent of the data subject or rely on another basis provided by the GDPR in its Article 6.

50. Article 6.1 of the GDPR enumerates six legitimate grounds for processing: in addition to consent (art. 6.1.a of the GDPR), the processing of personal data may be necessary for the performance of a contract (art. 6.1.b of the GDPR), for compliance with a legal obligation (art. 6.1.c of the GDPR), for the performance of a task carried out in the public interest or in the exercise of official authority (art. 6.1.e of the GDPR), for the purposes of legitimate interests pursued by the data controller or by a third party (art. 6.1.f of the GDPR), or is necessary to protect the vital interests of the data subject (art. 6.1.d of the GDPR). In the absence of an adequate legal basis, the processing of personal data is strictly prohibited.

51. The continuation of the processing of personal data for marketing purposes, such as telemarketing or sending newsletters, despite a request for erasure without any exception provided for in Article 17.3 of the GDPR being invoked, or despite a request for opposition in accordance with Articles 21.2 and 21.3 of the GDPR, may lead to a violation of Article 6 in conjunction with 5.1.a) of the GDPR when the processing of data continues without a lawful basis. In other words, non-compliance with requests for erasure and/or opposition may exceed the mere violation of Article 17 and/or 21 of the GDPR.

52. The principle of fairness and transparency established in Article 5.1.a) of the GDPR is not limited to the mere obligations of information and transparency listed in the articles of the GDPR, but consists of a general principle, the scope and philosophy of which must be respected for any processing. This principle, enshrined in particular by Article 12 of the GDPR, is further elaborated in the EDPB Decision 01/021, which states: “Based on the considerations above, the EDPB emphasizes that the principle of transparency is not confined by the obligations arising from Articles 12 to 14 of the GDPR, although these latter are a realization of the former. Indeed, the principle of transparency is a general principle that not only reinforces other principles (for example, fairness, accountability), but from which many other provisions of the GDPR derive. Furthermore, as noted above, Article 83(5) of the GDPR provides for the possibility of establishing a violation of transparency obligations independently of a violation of the principle of transparency. Thus, the GDPR distinguishes the broader dimension of the principle from more specific obligations. In other words, the transparency obligations do not define the entire scope of the principle of transparency.” (Free translation by the Dispute Chamber) EDPB, Binding decision 1/2021 on the dispute arisen on the draft decision of the Irish Supervisory Authority regarding WhatsApp Ireland under Article 65(1)(a) GDPR, July 28, 2021, §192.

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GDPR17 aims to ensure that data subjects are informed in a concise, transparent, comprehensible, and easily accessible manner regarding the processing of their personal data. Furthermore, it obliges the data controller to take appropriate measures to effectively respond to requests made by data subjects under Articles 15 to 22 of the GDPR. This involves providing complete information, written in clear and simple language, and presented in a concise, easily accessible, and understandable manner, regarding the processing of their data¹⁸. By ensuring total transparency in the processing of personal data, this principle reinforces trust in data processing and ensures respect for fundamental rights concerning data protection.

53. Finally, in accordance with Article 5.2 of the GDPR, read in conjunction with Article 24 of the GDPR¹⁹, which enshrines the principle of accountability, the data controller is responsible for complying with the principles of personal data protection, in this case, the principles of lawfulness and transparency. They must take appropriate technical and organizational measures to ensure and be able to demonstrate that the processing of personal data complies with the legal obligations set out by the GDPR; this implies that they must be able to provide evidence of their compliance in response to any requests from supervisory authorities.

54. In the present case, firstly, the Contentious Chamber took into account the explanations provided by the defendant regarding its direct marketing activities, including telephone calls and the sending of newsletters, which were based on the consent of customers under Article 6.1.a) of the GDPR.

Furthermore, the Contentious Chamber noted that the defendant argued that the complainant had initially given their consent by checking the "consent" box to receive advertising messages, and that the sending of newsletters was subject to a separate management system.

55. The Contentious Chamber found that the complainant had exercised their right to erasure and objection on June 30, 2022. During the hearing, the defendant confirmed that the complainant continued to receive commercial messages until December 2022. Paradoxically, the defendant also indicated that the limitation of data processing using "code 43" was only implemented on April 11, 2023, which suggests that the complainant's data was processed, even in a limited manner, at least until April 2023, and not December 2022. Thus, the processing of the complainant's data at

17 See points 38 to 40 of this decision.

18 Recitals 58 and 60 of the GDPR specify that "the principle of fair and transparent processing requires that the data subject be informed of the existence of the processing operation and its purposes" and that "the principle of transparency requires that any information addressed to the public or to the data subject be concise, easily accessible, and easy to understand, and formulated in clear and simple terms (...)".

19 See Title II.2.3. of this decision.

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the direct marketing continued without a lawful basis, given the withdrawal of consent by the complainant. Since this consent was withdrawn by the complainant (by exercising their right to erasure and opposition), the continuation of the processing of their data for direct marketing purposes was carried out without a lawful basis, violating the principle of lawfulness set out in Article 5.1.a) of the GDPR.

56. Furthermore, the Contentious Chamber does not find convincing the argument put forward by the defendant that the complainant continued to receive commercial messages due to an alleged initially checked "consent box," suggesting perpetual consent. The complainant had clearly revoked their consent by exercising their rights to erasure and opposition, and by explicitly stating that they would no longer purchase the defendant's products. Consequently, the defendant no longer had a legal basis to justify the processing of data for direct marketing purposes, effective from the exercise of the complainant's rights to opposition and erasure. Moreover, the argument put forward by the defendant, that the sending of advertising emails was justified by the existence of a separate management system, cannot convince the Contentious Chamber, as it is the responsibility of the data controller to organize itself in a manner that complies with the obligations of the GDPR.

57. Secondly, the Contentious Chamber notes that as of the date of the hearing, the defendant had still not informed the complainant of the measures taken in response to the exercise of their rights to erasure and opposition. Furthermore, although it committed on November 3, 2023, to regularize the situation in accordance with Article 17 of the GDPR, this statement confirms the defendant's non-compliance with the principle of transparency set out in Article 5.1.a of the GDPR resulting from the failure to meet its information and communication obligations, as defined in Article 12 of the GDPR. Additionally, the Contentious Chamber emphasizes that the opposition request remains unaddressed to this day.

58. Considering the time elapsed between the exercise of rights in June 2022 and the commitment to inform the complainant in November 2023, it is established that the defendant did not take appropriate measures to communicate all information related to the processing of data, including responses to the rights of erasure and opposition, as required by Article 12.1 of the GDPR. Moreover, the defendant did not provide information on the actions taken following the requests for erasure and opposition within the one-month period prescribed by Article 12.3 of the GDPR, nor did it provide any justification to the complainant for its inaction contrary to what is required by Article 12.4 of the GDPR.

59. In conclusion, the defendant continued to process the complainant's data for direct marketing purposes, whether through phone calls or sending advertising emails, without a legal basis within the

meaning of Article 6 of the GDPR, for a period ranging from six to ten months after the complainant made their request for deletion and opposition.

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in violation of the principle of lawfulness. Furthermore, the defendant did not respond to the plaintiff's request for deletion and opposition, with these requests remaining unanswered for more than one year and five months regarding the deletion request, and still remaining unanswered concerning the opposition request.

60. In light of the above, the Contentious Chamber concludes that the defendant violated the principles of lawfulness and transparency set forth in Article 5.1.a) of the GDPR by failing to comply with the requirements of Articles 6 and 12 of the GDPR.

II.2.3. Alleged violation of Articles 5.2 and 24 of the GDPR (principle of accountability)

II.2.3.1.

Position of the defendant

61. The following arguments were raised by the defendant solely during the hearing:

a) Regarding the former DPO and his role, the defendant described him as competent in communication and labor law but noted shortcomings in his management of communications with the IS, the SPL, and the Contentious Chamber. These shortcomings generated problems and highlighted weaknesses in his management of internal communications within the defendant, ultimately leading to his replacement.

b) Concerning the plaintiff's deletion request, although the former DPO took internal measures to address the plaintiff's requests, including using "code 43" and, according to the defendant, informing the IS as part of the inspection he was subject to (see Title II.1.1), he failed to respond to the SPL and inform the plaintiff. The former DPO believed that the data categorized under "code 43" resulted in the deletion of data, rather than a limitation of data. The defendant also specified that it could not verify or confirm the deletion of the plaintiff's data by the German subcontractor as no written confirmation had been provided by the latter. The defendant confirmed that it no longer had control over this data. On November 3, 2023, in response to the hearing report, the defendant clarified that the misunderstanding with the German subcontractor regarding the categorization of data under "code 43" was the result of a mistaken belief by the former DPO and management, who thought that this code led to the deletion of personal data, whereas it actually resulted in their inaccessibility by the front desk of their system. This situation is being rectified with the assistance of the new DPO (current DPO).

c) Regarding the data processing responsibility between the German subcontractor and itself, the defendant expressed uncertainty about the structure of this responsibility, while noting a tendency to consider itself the sole responsible party for processing. In response to the hearing report, the defendant specified that it is bound to the German subcontractor by a subcontracting agreement (Article 28 GDPR).

d) Regarding the exclusive access of the former DPO to the email address "privacy@Y.be," the defendant explained that this created difficulties, particularly during absences due to illness or leave, affecting its ability to handle requests effectively. It emphasized that the former DPO, being employed part-time for three days a week, was often overloaded. The defendant announced the termination of the former DPO's contract following a notice period, specifying that since July 11, 2023, his successor operates full-time, supported by two other collaborators, for a shared management of the mailbox that contains all emails, including those from the DPA. This new organization aims to ensure better responsiveness. The defendant committed to complying with the decisions of the DPA and not to unnecessarily retain customer data. In response to the hearing report, the defendant reaffirmed its intention to reduce the risk of unprocessed correspondence by taking administrative measures, namely establishing a team of three people, including the new DPO (current DPO), to manage the email box.

II.2.3.2.

Position of the Contentious Chamber

62. Regarding the principle of accountability (Article 5.2 of the GDPR), the Contentious Chamber reminds that the data controller must implement appropriate technical and organizational measures to ensure and be able to demonstrate that processing is carried out in accordance with the GDPR and

other personal data protection laws (Article 24.1 of the GDPR). These measures are reviewed and updated as necessary. Furthermore, Article 24.2 of the GDPR establishes that "where proportionate to the processing activities, the measures [referred to in Article 24.1 of the GDPR] include the implementation of appropriate data protection policies by the data controller" (it is the Contentious Chamber that emphasizes this).

63. Recital 74 of the GDPR adds that "it is particularly important that the data controller is required to implement appropriate and effective measures and is able to demonstrate compliance of processing activities with the [GDPR], including the effectiveness of the measures. These measures should take into account the nature, scope, the

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context and purposes of the processing as well as the risk it poses to the rights and freedoms of individuals."

64. In execution of the principle of accountability, it is therefore the responsibility of the data controller to develop internal procedures that allow data subjects to effectively exercise their rights, and to integrate compliance with the GDPR rules into its processing and procedures, for example, by ensuring the existence and effectiveness of procedures for handling requests from data subjects (Art. 25 of the GDPR).

65. The measures implemented in accordance with the principle of accountability, read in conjunction with the principle of transparency (Art. 5.1.a of the GDPR), aim to enable data subjects to control the processing of their data.

66. Regarding the Data Protection Officer (DPO), the Contentious Chamber recalls that the GDPR clearly defines the responsibilities of the data controller, notably in Article 38.2 of the GDPR. This article specifies that "the data controller and the processor assist the data protection officer in carrying out the tasks referred to in Article 39 by providing the necessary resources to carry out [his/her] tasks, as well as access to personal data and processing operations, and enabling him/her to maintain his/her specialized knowledge" (it is the Contentious Chamber that emphasizes this).

67. In this regard, the Contentious Chamber believes that the following aspects, in particular, must be taken into consideration:

- The involvement of the DPO or, where applicable, his/her team, in all matters relating to data protection. This includes informing and consulting the DPO as soon as a data processing project is contemplated, thereby promoting compliance with the GDPR and encouraging a data protection by design approach. The DPO should naturally become a central point of contact within the organization, for example by participating in working groups dedicated to data processing activities within the company;
- The recognition and appreciation of the DPO's role by senior management (for example, at the board level);
- An adequate allocation of time for the DPO to effectively carry out his/her tasks is essential. This aspect is particularly important when the DPO performs his/her function part-time, whether internal or external to the organization.

20 See Recital 78 of the GDPR.

21 Contentious Chamber, Decision 41/2020, paragraphs 87 and 88.

22 WP29, "Guidelines on Data Protection Officers (DPOs)," 16/FR WP, 243 rev.01, April 5, 2017, p. 16.

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The lack of time allocated to the DPO for the exercise of his/her functions could lead to conflicts of priorities and compromise his/her ability to fulfill his/her tasks. To remedy this situation, WP29 recommends determining, in conjunction with the DPO, the estimated time necessary for the exercise of his/her function (the need is greater when entering the role). It may be useful to establish a work plan that prioritizes the DPO's tasks to ensure that he/she has the necessary time to fully assume his/her responsibilities. Furthermore, it is essential that the allocation of resources for the DPO is proportionate to the size, complexity, structure, and risks associated with the data processing activities. Consequently, the more complex or sensitive the processing operations are, the more

substantial the resources allocated to the DPO should be;

- An official communication of the DPO's appointment to all staff to ensure that his/her role within the organization is widely known;
- Adequate support in terms of financial resources (including a budget for awareness-raising actions or the recruitment of a temporary or permanent team), and infrastructure (premises, facilities, equipment) and personnel, where applicable;
- Default access to legal documentation related to personal data processing involving the organization with third parties, including partners and processors;
- Access to internal communication tools in the performance of his/her tasks to raise awareness and train on GDPR requirements, including awareness of best practices and incident management such as fraudulent emails or data breaches;
- Access to other services, such as human resources, legal services, IT, security, etc., to enable the DPO to receive support, contributions, and essential information from these other services;
- Ongoing training to keep the DPO's specialized knowledge up to date;
- Depending on the size and structure of the organization, it may be necessary to form a team around the DPO. In such cases, it is important to clearly establish the internal structure of the team as well as the tasks and responsibilities of each member. Similarly, when the DPO function is outsourced to a service provider, a team of individuals working on behalf of that entity may be required.

23 Bergt, in Kühling, Buchner, DS-GVO BDSG, Article 38 GDPR, margin number 20 (C.H. Beck 2020, 3rd Edition).

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to assume the DPO's responsibilities as a group, under the responsibility of a designated main contact person for the client.

68. Ultimately, the DPO function must be exercised effectively to ensure effective data protection practices in compliance with the GDPR. The data controller is legally required to establish the necessary structures and measures to facilitate the DPO's work and ensure the protection of personal data. This involves providing the DPO with adequate resources based on the nature of the data processing carried out and the associated risks, as well as making available the necessary time and access to facilitate and support the role within the organization.

69. Based on the factual elements present in the file, the Contentious Chamber finds the following:

a) Regarding the request for deletion and opposition made on June 30, 2022:

i. The defendant restricted data processing by using "code 43," thereby making the data inaccessible from the front desk of their system. Nevertheless, this measure does not meet the complainant's initial requests, which sought the complete deletion of their data and opposed any further processing for prospecting purposes, thereby highlighting a manifest gap in the technical and organizational measures in place.

ii. The complainant's personal data was, in any case up to the date of the closure of the debates, still retained by the defendant's German subcontractor despite their request for deletion and opposition. The inability to verify or conclusively confirm the effective deletion of this data raises concerns about the effectiveness of the internal procedures currently in place, both regarding data deletion and coordination between the different entities of the defendant to comply with the GDPR.

b) Regarding the responses provided to the complainant's requests for deletion and opposition:

i. Up to the date of the closure of the debates, the defendant had still not responded to the complainant's requests for deletion and opposition, thus revealing a major failure in the establishment of appropriate technical and organizational measures to ensure the respect of the rights of the data subjects in accordance with the GDPR.

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ii. The justification for receiving newsletters based on the complainant's consent, even when they exercised their right to erasure and opposition, reveals a failure in the measures aimed at ensuring transparency, respect for consent, and the deletion and opposition of data, including within the distinct entities of the defendant's network, in contradiction with the requirements of the GDPR.

c) Regarding the DPO and the new measures taken by the defendant:

- i. The defendant acknowledged that the former DPO worked part-time and was overloaded, which prevented them from responding effectively to several letters. This situation is concerning, as the DPO plays a crucial role in ensuring compliance with the GDPR. In accordance with the GDPR, the data controller must provide the DPO with all necessary means to enable them to perform their tasks and obligations adequately in accordance with Article 38 of the GDPR (see points 66 to 68). The fact that the former DPO worked part-time while being overloaded highlights a failure in establishing appropriate organizational measures to ensure compliance with the GDPR.
- ii. The Contentious Chamber notes that the defendant's decision to hire a new full-time DPO was made following the inspection conducted by the SI (see Title II.1.1). These corrective measures taken in response to the SI's investigation (see Title II.1.1) highlight a failure to adhere to the accountability principle arising from Article 5.2 in conjunction with Article 24 of the GDPR. Such measures should have been implemented prior to any intervention by the DPA to ensure ongoing compliance with the GDPR.
- iii. Despite the communication issues of the former DPO, the failure to respond to the SPL's requests and the investigation conducted by the SI (see Title II.1.1), the defendant did not adopt a more cautious approach by taking adequate measures to improve its processes and ensure compliance with the GDPR, both for past and future requests from data subjects. For example, it would have been prudent to ask the new DPO, engaged since July 11, 2023, and assisted by two administrators, to consult all emails still present in the mailbox.

24 See also points 64 to 70.

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privacy@Y.be » in order to address unresolved requests. To hide behind an alleged lack of understanding of the content of previous emails and to shift responsibility onto the former DPO does not absolve the defendant of responsibility, especially since, according to the defendant's statements, it was under investigation by the SI and was therefore aware of the issues concerning the former DPO. Although the defendant took certain measures to remedy the situation, including hiring a new full-time DPO and strengthening the team, these measures remain insufficient in the eyes of the Contentious Chamber. The defendant, under the principle of accountability, should have, given the contentious context and the necessity to comply with the provisions of the GDPR, taken proactive measures to improve its processes and ensure compliance with the GDPR.

70. Furthermore, the absence of technical or organizational measures, such as the lack of measures limiting data retention beyond what is necessary or the lack of understanding of the codes used in data deletion or opposition requests, may compromise the confidentiality and security of the personal data of the individuals concerned. Therefore, the Contentious Chamber draws the defendant's attention to the imperative of respecting the principle of security and confidentiality set out in Article 5.1.f) of the GDPR, read in conjunction with Article 32 of the GDPR. Finally, the Contentious Chamber strongly encourages the defendant to continue its efforts in implementing measures to effectively support the DPO function.

71. In light of the above, the Contentious Chamber concludes that the defendant has not complied with Articles 5.2 and 24 of the GDPR.

II.2.4. Alleged Violation of Article 31 of the GDPR (Cooperation with the Supervisory Authority)

II.2.4.1.

Position of the Defendant

72. During the hearing, the defendant raised several points:

- a) The issues with the APD began under the management of the former DPO. Neither the current DPO nor management were informed of the APD's requests (see Title II.2.3).
- b) The current DPO discovered the correspondence from the Contentious Chamber only two weeks before the hearing, and only the former DPO was aware of the APD's correspondence.
- c) The defendant specified that the former DPO did not internally transmit the information regarding the invitation to conclude and the emails on mediation sent by the SPL, thus hindering any appropriate response.
- d) The former DPO did not properly handle the APD's letters or those from the complainant, and did

not share this information internally, due to his workload (see Title II.2.3).

e) Despite measures taken to limit the processing of the complainant's data, no contact was established with the complainant or the APD, and the APD's emails remained unaddressed in the "privacy@Y.be" inbox.

73. In response to the minutes, the defendant clarified that the former DPO did not respond to the APD's communications due to his workload from December 2022 to March 2023, a justification coming from the former DPO himself, and not from the defendant. Furthermore, the former DPO allegedly did not inform management of this workload. This same argument of non-response was also invoked to justify the lack of response to communications from the SI during this period.

II.2.4.2.

Position of the Contentious Chamber

74. Article 31 of the GDPR states that the data controller, the processor, and, where applicable, their representatives, must cooperate with the supervisory authority, at the request of the latter, in the performance of its tasks. This cooperation is crucial to enable the supervisory authority to effectively carry out its functions and missions in the field of data protection. In this regard, Article 31 of the GDPR should be read in conjunction with Articles 57 and 58 of the GDPR, which define the missions and investigative powers of the supervisory authority.

75. The general duty of cooperation set out in Article 31 of the GDPR is reinforced by Article 83.4.a) of the GDPR, which qualifies this cooperation as an "obligation incumbent on the data controller and the processor." The failure to comply with this obligation of cooperation also constitutes a separate infringement of the GDPR, as stated in Article 83 of the GDPR:

"Violations of the following provisions shall be subject to administrative fines of up to 10,000,000 EUR, or in the case of an undertaking, up to 2% of the total worldwide annual turnover of the preceding financial year, whichever is higher: a) the obligations of the data controller and the processor under Articles 8, 11, 25 to 39, 42 and 43; [...]"

25 Article 57 of the GDPR defines the extensive missions assigned to supervisory authorities, while Article 58 of the GDPR specifies the extensive investigative powers conferred upon them under the regulation.

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76. Article 83 of the GDPR also sets out the criteria used to decide on the imposition of a fine as well as its amount. Significantly, the degree of cooperation is explicitly mentioned as one of the eleven criteria influencing the determination of these sanctions (art. 83.2 of the GDPR).

77. Recital 82 of the GDPR further reinforces this obligation of cooperation by requiring, in particular, the maintenance of records of processing activities, as well as the obligation to make these records available to the supervisory authority upon request. This recital aims to enable the supervisory authority to verify and monitor processing operations, as well as to carry out its tasks in accordance with Article 57 of the GDPR.

78. The Contentious Chamber recalls that both data controllers and processors are directly accountable to the supervisory authorities under the obligations to keep up-to-date and provide appropriate documentation upon request, to cooperate with investigations, and to comply with administrative orders. More specifically, the general duty of cooperation²⁶ implies that the data controller and the processor must:

- a) Respond to requests from the supervisory authority: When the supervisory authority, such as the DPA, requests information, data, or responses related to the processing of personal data, the data controller and the processor must provide this information fully and within the specified deadlines;
- b) Actively collaborate: The data controller and the processor must work closely with the supervisory authority to assist it in carrying out its tasks, including providing information on data processing practices and taking measures to remedy any potential violations of the GDPR;
- c) Comply with the instructions of the supervisory authority: If the supervisory authority gives specific instructions to comply with the GDPR, the data controller and the processor must follow them appropriately.

It is important to note that this list is not intended to be exhaustive.

79. In summary, the fundamental objective of this general obligation of cooperation imposed on each data controller and processor is to ensure effective supervision and strict compliance with data protection rules. Data controllers and processors must actively cooperate and fully collaborate with the supervisory authority to ensure compliance with the provisions of the GDPR and protect the rights of data subjects. This obligation, combined with the principle of accountability set out in Article 5.2 of the GDPR, strengthens the role of the supervisory authority in exercising its powers for the effective enforcement of personal data protection rules.

80. Non-compliance with this obligation exposes one to distinct administrative fines in accordance with Article 83.4.a) of the GDPR. Finally, the violation of this obligation of cooperation may also be considered a breach of the principle of accountability (art. 5.2 of the GDPR).

81. In this case, the Contentious Chamber notes that the SPL has taken steps with the defendant for mediation. More specifically, the SPL sent two requests dated December 7, 2022, and January 17, 2023, to which the defendant did not respond. Furthermore, the SPL included the complainant's request in the mediation request, thereby reminding the defendant of its duty to respect, in particular, the complainant's right to erasure. However, despite these efforts, the SPL had to notify the failure of mediation on February 20, 2023, due to the defendant's lack of response, both to the mediation and to the complainant's request (see points 4 to 11).

82. Regarding the emails and letters from the SPL addressed to the defendant, the Contentious Chamber notes the absence of technical and organizational measures that would allow the defendant to have an overview of the GDPR-related issues handled by the former DPO and/or to verify the correct processing of requests addressed to the former DPO, which highlights the defendant's negligence (see Title II.2.3).

83. On the one hand, the Contentious Chamber notes that this negligence appears to result primarily from confusion due to the fact that the defendant was subject to an inspection conducted by the SI (see Title II.1.1), which remains confidential in accordance with Article 63 § 3 of the LCA. In this context, the Contentious Chamber emphasizes that the defendant is required to cooperate with all services of the DPA. The lack of response to a letter sent by one of the DPA's services, in this case, an invitation to cooperate in mediation by the SPL, could be interpreted as a refusal to cooperate and potentially be considered a violation of Article 31 of the GDPR.

84. On the other hand, the Contentious Chamber observes that the defendant attempts to absolve itself of responsibility by attributing the negligence of not responding to communications from the SPL, the SI, the Contentious Chamber, and the complainant to its former DPO. The defendant argues that it was not informed of the excessive workload of the latter, which would have hindered its ability to respond favorably to the requests of the DPA and the complainant.

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It is important to recall that the GDPR sets forth several articles outlining the obligations of a data controller or a processor, notably Articles 5, 6, 9, 25, 32, 33, 37, and 38 of the GDPR. Under the principle of accountability (see Title II.2.3), the data controller must demonstrate compliance with the provisions of the GDPR by adopting appropriate technical and organizational measures to protect the rights and freedoms of natural persons. In the event that the data controller designates a DPO for its litigation department or uses a generic email address such as "privacy@Y.be" to respond to requests from data subjects, it is their responsibility to ensure that emails sent to this address are regularly checked and processed, even in the event of the resignation of a person who worked in the relevant department and/or the DPO, or in case of the DPO's workload being excessive. On this last point, the Litigation Chamber reminds that it is the responsibility of the data controller to comply with the provisions of Article 38 of the GDPR.

85. Given the particular context surrounding the ongoing inspection (see Title II.1.1) and the workload observed with the former DPO, the Litigation Chamber finds that the defendant did not properly verify the processing of requests addressed to the former DPO. Although measures were taken, such as increasing staff and replacing the former DPO, these did not seem fully effective, particularly regarding the review of all previous requests from the DPA, including those from the complainant, which remained unanswered, as well as potentially other prior requests. To remedy this situation, the defendant could have considered taking additional measures, such as a refresher training with the new

data protection team, emphasizing the need to review the content of the aforementioned email address, with the aim of correcting any shortcomings of the former DPO and ensuring an adequate response to all requests from data subjects. In any case, compliance with the GDPR falls under the responsibility of the data controller, not the competencies and duties of a DPO.

86. Regarding the absence of a submission of conclusions, the Litigation Chamber believes that the defendant has the freedom to choose whether to defend itself, present its arguments, and support its position in a formal and structured manner. In the absence of such an approach, the Litigation Chamber may be compelled to render a default decision. In this case, the defendant had the opportunity to present its arguments orally during a summons to the hearing.

87. In light of the above, the defendant did not fully cooperate with the DPA, particularly with the SPL, during the mediation process. However, the Litigation Chamber was unable to determine whether this lack of response was the result of confusion generated by the ongoing inspection (see Title II.1.1), or the result of a deliberate intention or gross negligence not to cooperate, which leads to the conclusion of a non-violation of Article 31 of the GDPR.

III. Regarding Corrective Measures and Sanctions

III.1. Corrective Measures and Sanctions

88. Under Article 100 of the LCA, the Litigation Chamber has the power to:

- 1° dismiss the complaint;
- 2° order a dismissal;
- 3° pronounce a suspension of the ruling;
- 4° propose a settlement;
- 5° issue warnings or reprimands;
- 6° order compliance with requests from the data subject to exercise these rights;
- 7° order that the concerned party be informed of the security issue;
- 8° order the freezing, limitation, or temporary or permanent prohibition of processing;
- 9° order compliance of the processing;
- 10° order the rectification, restriction, or erasure of data and notification of such to the data recipients;
- 11° order the withdrawal of the accreditation of certification bodies;
- 12° impose penalties;
- 13° impose administrative fines;
- 14° order the suspension of cross-border data flows to another State or an international organization;
- 15° refer the case to the Public Prosecutor of Brussels, who will inform it of the follow-up given to the case;
- 16° decide on a case-by-case basis to publish its decisions on the website of the Data Protection Authority.

89. The aforementioned Article 100 specifies the list of sanctions from Article 58.2 of the GDPR.

90. Regarding the administrative fine that may be imposed under Article 83 of the GDPR and Articles 100, 13° and 101 of the LCA, Article 83 of the GDPR provides:

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- “1. Each supervisory authority ensures that the administrative fines imposed under this article for violations of this regulation, referred to in paragraphs 4, 5, and 6, are, in each case, effective, proportionate, and dissuasive;
2. Depending on the specific characteristics of each case, administrative fines are imposed in addition to or instead of the measures referred to in Article 58, paragraph 2, points a) to h), and j). In deciding whether to impose an administrative fine and determining the amount of the administrative fine, the following elements are duly taken into account in each specific case:
 - a) the nature, gravity, and duration of the violation, taking into account the nature, scope, or purpose of the processing concerned, as well as the number of affected individuals and the level of harm they have suffered;
 - b) whether the violation was committed intentionally or negligently;
 - c) any measures taken by the data controller or the processor to mitigate the harm suffered by the affected individuals;
 - d) the degree of responsibility of the data controller or the processor, taking into account the technical

and organizational measures they have implemented under Articles 25 and 32;

- e) any relevant previous violations committed by the data controller or the processor;
- f) the degree of cooperation established with the supervisory authority in order to remedy the violation and mitigate any potential negative effects;
- g) the categories of personal data concerned by the violation;
- h) how the supervisory authority became aware of the violation, including whether, and to what extent, the data controller or the processor notified the violation;
- i) when measures referred to in Article 58, paragraph 2, have previously been ordered against the data controller or the processor concerned for the same matter, compliance with those measures;
- j) the application of approved codes of conduct pursuant to Article 40 or approved certification mechanisms pursuant to Article 42; and
- k) any other aggravating or mitigating circumstances applicable to the circumstances of the case, such as the financial benefits obtained or the losses avoided, directly or indirectly, as a result of the violation.”

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III.2. Violations Observed

91. The Contentious Chamber finds that there are, in this case, serious violations of the fundamental rights of the individuals concerned (see Title II.2). More specifically, the Contentious Chamber notes the violations of the following provisions of the GDPR, all attributable to a single behavior²⁷ of the defendant leading to several violations described below:

a) Violation of Articles 17 and 21 of the GDPR (see Titles II.1.2 and II.2.1)

The defendant violated Articles 17 and 21 of the GDPR by failing to respond within the stipulated time frame to a request for the erasure of personal data and for opposition to the processing of such data for direct marketing purposes²⁸, more than a year after the exercise of the complainant's rights. It should be noted that this data was still present on the defendant's servers at the time of the hearing, including that processed for direct marketing purposes.

b) Violation of Article 5(1)(a) of the GDPR (see Title II.2.2)

The defendant did not inform the complainant of the measures taken in response to their requests for erasure and opposition, as required by its information and communication obligations set out in Article 12 of the GDPR, violating the principle of transparency stated in Article 5.1(a) of the GDPR²⁹.

Furthermore, the continued processing of data for direct marketing purposes in the absence of an appropriate legal basis, as required by the GDPR, constitutes a violation of the principle of lawfulness established in Article 5.1(a) of the GDPR. In this case, the defendant invoked consent as the legal basis. However, since this consent was withdrawn by the complainant (through the exercise of their right to object and to erasure), the continued processing of their data for direct marketing purposes is unlawful, violating the principle of lawfulness stated in Article 5.1(a) of the GDPR.

c) Violation of Articles 5.2 in conjunction with 24 of the GDPR (see Titles II.2.3 and II.2.4)

²⁷ EDPB - Guidelines 04/2022 on the calculation of administrative fines under the GDPR (v2.1), adopted on May 24, 2023 (v2.1), available at <https://edpb.europa.eu/our-work-tools/our-documents/guidelines/guidelines-042022-calculation-administrative-fines-under-fr>.

²⁸ See points 5 and 40 of this decision.

²⁹ Article 29 Working Party, Guidelines on Transparency under Regulation (EU) 2016/679, WP 260, points 1, 7, or 54; These guidelines from the "Article 29" Working Party (G29) provide practical guidance as well as assistance in interpreting the new transparency obligation applicable to the processing of personal data under the General Data Protection Regulation (hereinafter "GDPR"). Transparency is a global obligation under the GDPR that applies to three core areas: 1) the communication to data subjects of information regarding the fair processing of their data; 2) how data controllers communicate with data subjects about their rights under the GDPR; and 3) how data controllers facilitate the exercise by data subjects of their rights. These guidelines set out the general principles relating to the exercise of the rights of data subjects rather than addressing the specific modalities for each of these rights under the GDPR. In other words, they provide guidance on the underlying concepts and principles to be respected when exercising the rights of data subjects, rather

than providing detailed instructions on how to practically exercise each specific right.

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Insofar as the defendant did not respond within the prescribed deadlines to the requests for the deletion of personal data and for opposition to the processing of such data for direct marketing purposes, this resulted in the continued processing of the complainant's personal data without respecting the data protection principles set out in Article 5.1 of the GDPR (see above). This failure highlights a deficient management of requests from data subjects, particularly regarding the complainant's right to deletion and opposition. Furthermore, this gap in managing requests from data subjects is exacerbated by the inadequacy of the measures taken by the defendant, such as the use of "code 43" to restrict data processing, deemed insufficient to address the complainant's initial requests. This situation also underscores a lack of mastery over any codes used to respond to requests from data subjects. Moreover, the persistence of data on the defendant's servers, as well as issues related to the DPO, highlight a failure in implementing the necessary technical and organizational measures for compliance with the GDPR, thus revealing an additional gap in technical and organizational procedures. Consequently, the defendant has violated Article 5.2 in conjunction with Article 24 of the GDPR.

III.3. Corrective Measures and Sanctions Imposed by the Disciplinary Chamber.

92. As an independent administrative authority, the Disciplinary Chamber has the exclusive power to determine the appropriate corrective measures and sanctions in accordance with the relevant provisions of the GDPR and the LCA. This competence specifically derives from Articles 58 and 83 of the GDPR, as confirmed by the case law of the Market Court in its judgments of July 7, 2021, September 6, 2023, and December 20, 2023, which have clearly highlighted the extent of the discretionary power of the Disciplinary Chamber regarding the choice and scope of sanctions.

93. In this perspective, the Disciplinary Chamber will take into account all relevant circumstances of the case, including – within the limits defined below in Title III.3.2. – the reaction of the defendant dated April 5, 2024, to the proposed sanctions communicated to it via the sanction form dated March 15, 2024.

However, the Disciplinary Chamber reminds that the sanction form aims to allow the alleged offender, in this case, the defendant, to defend against the amount of the proposed fine before its imposition and effective execution. The defense process provided through the sanction form regarding the amount of the proposed fine does not open new debates on the findings already established by the Disciplinary Chamber, which are closed. Furthermore, the letter accompanying the sanction form does not constitute a decision subject to appeal before the Market Court under Article 108 of the law of December 3, 2017, establishing the Data Protection Authority.

94. In continuation of this explanation, the Disciplinary Chamber invites the defendant to consult the section "Title II.1.1" of this decision for more detailed explanations and reminds that it rejects the request to join the file (...) with the current file subject to this decision. Similarly, the Disciplinary Chamber rejects the considerations set out in points 2.2.1 to 2.2.4 of the reaction to the sanction form submitted on April 5 by the defendant, asserting that the debates are closed; and that the proposed and pronounced corrective measures are compliant in concreto. However, these considerations will be taken into account when calculating the fine, as the sanction form aims to allow the defendant to contest the amount of the proposed fine.

III.3.1. Corrective Measures

95. In response to the sanction form, the defendant claims to have deleted the data and notified the relevant recipients, including the German subcontractor; it also asserts that it has implemented processing operations in compliance with the provisions of the GDPR. Consequently, it requests the withdrawal of the issued warning. However, the Disciplinary Chamber reminds the defendant that these notifications were received on November 11, 2024, or April 5, 2024, after the closure of the debates. Therefore, the Disciplinary Chamber is unable to verify the veracity of the arguments put forward by the defendant and is compelled to dismiss these arguments, the debates being closed.

96. The Disciplinary Chamber adopts the following corrective measures:

a) In accordance with Article 58.2. c) of the GDPR and Article 100, § 1, 6° of the LCA, order the defendant, due to the violation of Articles 17 and 21 of the GDPR, to comply with the requests for

deletion and opposition from the complainant, within a period of 30 days from the notification of this decision.

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b) In accordance with Article 58.2. g) of the GDPR and Article 100, §1, 10° of the LCA, to order the defendant to erase the data and notify the recipients of the data, in accordance with Article 19 of the GDPR.

c) In accordance with Article 58.2. d) of the GDPR and Article 100, § 1, 9° of the LCA, to order the defendant, due to the violation of Article 5.1 a) as well as Articles 5.2 in conjunction with 24 of the GDPR, to bring the processing operations into compliance with the provisions of the GDPR.

d) In accordance with Article 58.2. a) of the GDPR and Article 100, § 1, 5° of the LCA, to issue a warning to the defendant, due to the violation of Articles 17, 21, 5.1. a), 5.2 in conjunction with 24 of the GDPR, aimed at improving the management of future processing of requests from data subjects made under Articles 15 to 22 of the GDPR.

III.3.2. Administrative Fines

97. According to Article 83 of the GDPR, the supervisory authority has the discretionary power to impose a fine. This power is explained in the guidelines of the EDPB.

98. In accordance with Recital 148 of the GDPR, sanctions, including administrative fines, may be imposed in addition to or instead of appropriate measures in cases of serious breaches, even when it is a first finding of a breach. Thus, the fact that it is a first finding of an infringement does not prevent the Contentious Chamber from imposing an administrative fine, in accordance with Article 58.2. i) of the GDPR. The administrative fine does not aim to

33 EDPB - Guidelines 04/2022 on the calculation of administrative fines under the GDPR (v2.1), points 15, 20, 69, 84, 144. See also the judgment of December 7, 2023, SCHUFA Holding C-26/22 and C-64/22, ECLI:EU:C:2023:958), the conclusions of Advocate General Pikamae in the case TR (C-768/21, EU:C:2024:291), as well as "Guidelines on the application and imposition of administrative fines for the purposes of the [GDPR]" by the Article 29 Working Party on Data Protection, adopted on October 3, 2017, p. 5 (hereinafter the "guidelines on the application and imposition of administrative fines for the purposes of the GDPR").

34 Recital 148 of the GDPR states: "In order to reinforce the enforcement of the rules of this Regulation, sanctions, including administrative fines, should be imposed for any violation of the Regulation, in addition to or instead of the appropriate measures imposed by the supervisory authorities under this Regulation. When the infringement is minor or the likely fine would impose a disproportionate burden on a natural person, a reprimand may be preferred to a fine. However, account should be taken of the nature, gravity and duration of the infringement, the intentionality of the infringement, the measures taken to mitigate the damage, the degree of responsibility or any relevant previous infringements, how the infringement came to the attention of the supervisory authority, compliance with measures taken against the data controller or processor, adherence to a code of conduct, and any other aggravating or mitigating circumstances. The imposition of sanctions, including administrative fines, should be subject to appropriate procedural safeguards in accordance with the general principles of Union law and the Charter, including effective remedy and due process" (emphasis added).

35 CJEU, December 5, 2023, C-807/21, Deutsche Wohnen (ECLI:EU:C:2023:950), paragraph 38: "[...] the principles, prohibitions, and obligations set out in the GDPR are particularly addressed to 'controllers' who, as highlighted in Recital 74 of the GDPR, are responsible for any processing of personal data carried out by them or on their behalf and must therefore not only implement appropriate and effective measures but also be able to demonstrate that their processing activities comply with the GDPR, which includes the effectiveness of the measures they have taken to ensure this compliance. When a violation referred to in Article 83, paragraphs 4 to 6, of this Regulation has occurred, this responsibility constitutes the basis for imposing an administrative fine on the controller in accordance with this Article 83."

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not at all aimed at putting an end to the infringements³⁶, but primarily seeks to ensure strict

compliance with the rules set out in the GDPR.

99. The GDPR requires each supervisory authority to ensure that the administrative fines imposed are effective, proportionate, and dissuasive in each individual case (art. 83.1 of the GDPR). Furthermore, when determining the amount of the fine, the supervisory authority must duly take into account, for each individual case, several specific elements, such as the nature, gravity, and duration of the infringement, taking into account the nature, scope, or purpose of the processing concerned, as well as the number of affected individuals and the level of harm they have suffered (art. 83.2. a) of the GDPR); as well as the intentional or negligent nature of the infringement (art. 83.2. b) of the GDPR); and the categories of personal data concerned by the infringement (art. 83.2. g) of the GDPR). Consequently, Article 83.2 provides that in deciding whether to impose an administrative fine and in determining the amount of the administrative fine, an authority must take into account all the factors listed in Article 83.2, points a) to k), without exceeding the maximum legal amount set out in Articles 83.4 to 83.6 of the GDPR.³⁷

III.3.2.1.

Reasons for imposing a fine

100. The Guidelines on the application and setting of administrative fines for the purposes of Regulation (EU) 2016/679³⁸ emphasize that, to ensure a harmonized approach to sanctions, supervisory authorities must assess the relevance of imposing a fine based on a set of criteria specified in Article 83.2 of the GDPR. These guidelines specify that administrative fines are "corrective measures" whose aim may be "to restore compliance with the rules or to sanction unlawful behavior (or both)."

101. As the CJEU highlighted in the judgment in Case C-311/18 (Facebook Ireland and Schrems), "the choice of the appropriate and necessary means falls within the competence of the supervisory authority," which must make this choice taking into account all the circumstances of the specific case, as the Contentious Chamber does throughout its development in Title III.3 of this decision.

102. In its judgment in *Deutsche Wohnen*, the CJEU rules as follows:

36 For this purpose, the GDPR and the LCA provide several corrective measures, including the orders mentioned in Article 100, § 1, 5°, 6° and 9° of the LCA.

37 In two judgments dated December 5, 2023, the CJEU addresses these questions by specifying the conditions under which national supervisory authorities may impose an administrative fine on one or more controllers: *Deutsche Wohnen*, C-807/21, ECLI:EU:C:2023:950, and *Nacionalinis visuomenės sveikatos centras*, C-683/21, ECLI:EU:C:2023:949.

38 WP29, "Guidelines on the application and setting of administrative fines for the purposes of Regulation (EU) 2016/679," 17/FR, WP 253, October 3, 2017 (hereinafter "WP253 Guidelines"), p.6. Decision on the merits 87/2024 — 34/55

"The existence of a sanctions system allowing for the imposition, when the specific circumstances of each case justify it, of an administrative fine pursuant to Article 83 of the GDPR creates an incentive for data controllers and processors to comply with this regulation. Through their deterrent effect, administrative fines contribute to strengthening the protection of natural persons with regard to the processing of personal data and thus constitute a key element in ensuring respect for the rights of these persons, in accordance with the purpose of this regulation to ensure a high level of protection for such persons with regard to the processing of personal data."³⁹

103. In the same ruling, the CJEU states "that Article 83 of the GDPR does not allow for the imposition of an administrative fine for a violation referred to in paragraphs 4 to 6, without it being established that this violation was committed intentionally or negligently by the data controller, and that, consequently, a culpable violation constitutes a condition for the imposition of such a fine."⁴⁰

104. In his conclusions in the *Land Hessen* case, Advocate General Pikamae explains that the GDPR allows supervisory authorities to impose sometimes very high fines, constituting an effective element of their arsenal to enforce the regulation, in addition to other corrective measures provided for by Article 58.2 of the GDPR. Thus, the supervisory authority has discretion and is free to choose among these measures to remedy the identified violation.⁴¹

105. Although the Contentious Chamber could not find that the violations affected multiple concerned

individuals, it emphasizes that the negligence of the defendant justifies the imposition of a fine.

106. In accordance with the obligation of Article 83.2 of the GDPR, the Contentious Chamber examined all the factors set out in Article 83.2, points a) to k), to justify both the fine and its amount. This detailed examination is presented in Title III.3.2.2 of this decision. For the sake of clarity and readability, the Contentious Chamber refers the defendant to this

39 CJEU, December 5, 2023, C-807/21, Deutsche Wohnen (ECLI:EU:C:2023:950), paragraph 73.
40 Paragraph 75 of the ruling.

41 Conclusions of Advocate General Pikamäe in the Land Hessen case, C-768/21, ECLI:EU:C:2024:291. The Advocate General emphasizes that when a supervisory authority finds a violation of personal data during the examination of a complaint, it is obliged to intervene to uphold the principle of legality and define appropriate corrective measures to remedy the violation. This obligation is in line with Article 57.1 a) of the GDPR, which tasks the authority with monitoring the application of the regulation and ensuring its compliance. Ignoring an established violation would be incompatible with this mandate. He also recalls that the supervisory authority acts in the interest of the person or entity whose rights have been infringed (§41). To effectively address violations, Article 58.2 of the GDPR provides a "catalog of corrective measures" that the authority must use to restore a situation compliant with Union law, regardless of the severity of the violation (§42). The Advocate General specifies that Article 58.2 of the GDPR must be interpreted in light of Recital 129 of this regulation, according to which "any measure [must] [...] be appropriate, necessary and proportionate to ensure compliance with this regulation, taking into account the circumstances of the case." In other words, the power conferred on the supervisory authority to resort to corrective measures is subject to the condition that the measure is "appropriate," meaning it must be able to restore a situation compliant with Union law (§45). The Advocate General also indicates that Article 58.2 of the GDPR merely states that each supervisory authority "has the power" to adopt all the corrective measures listed.

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title, specifying that the results of this examination justify not only the amount of the fine but also the decision to impose a fine on the defendant. The Contentious Chamber summarizes below the reasons for its decision to impose a fine and refers the defendant to Titles II.2 and III.3.2.2 of this decision.

a) Nature, severity, and duration of the violation (art. 83.2. a) of the GDPR): The case submitted to the Contentious Chamber concerns a prolonged violation of the essential provisions of the GDPR, affecting the fundamental rights of the complainant regarding data protection.

i. The request for erasure and opposition was still not respected more than a year after the exercise of rights by the complainant, thus violating Articles 17 and 21 of the GDPR.

ii. The lack of follow-up to these requests led the defendant to process the complainant's data to send promotional emails for a period of at least six months.

iii. Despite the absence of conclusions submitted by the defendant, the Contentious Chamber summoned the latter to a hearing where it confirmed its presence. The defendant was informed of the case and could not ignore the requests of the complainant reiterated by the invitation to the hearing sent by the Contentious Chamber. Upon receiving this summons, the defendant should have been proactive by consulting its email box containing all exchanges, checking the status of the requests, and responding to them. The Contentious Chamber recalls that the defendant indicated during the hearing that it had access to the electronic mailbox of the former DPO, managed since then by the new DPO, and that it held all emails sent by the DPA. However, on the day of the hearing, the defendant still had not responded to the complainant's requests and even questioned the necessity of responding, ultimately promising to do so as soon as possible. This approach is interpreted by the Contentious Chamber as a demonstration of blatant negligence, in violation of Articles 17 and 21 of the GDPR. The defendant had, thanks to this summons, an additional period to follow up on the complainant's requests and attempt to demonstrate, even belatedly, compliance with the provisions of the GDPR.

b) Negligence or intentional nature of the violation (art. 83.2. b) of the GDPR): Several elements indicate a manifest negligence on the part of the defendant in managing the requests of the data subjects. This negligence is aggravated by the prolonged non-compliance with the complainant's requests for erasure and opposition, the inappropriate use of "code 43" to limit data processing, and

the prolonged retention of the complainant's data for direct marketing purposes, even after his requests for erasure and opposition. During the hearing, the defendant still had not taken appropriate measures to remedy the situation, indicating the severity and persistence of the violation. This manifest negligence arises from inadequate internal procedures and ignorance of GDPR obligations, notably by blaming its former DPO.

c) Degree of responsibility of the defendant considering the technical and organizational measures implemented in accordance with Articles 25 (art. 83.2. d) of the GDPR): The defendant is fully responsible for managing the requests of data subjects, including the complainant's requests for erasure and opposition.

i. The defendant shifts responsibility to the former DPO, which in no way justifies the prolonged non-compliance with a request for erasure and opposition, nor the non-compliance with the provisions of the GDPR more generally. This attitude raises serious questions regarding the management of responsibilities and the internal governance of the defendant.

ii. The Contentious Chamber recalls that a data controller cannot evade its obligations by invoking the responsibility of the DPO to justify breaches of the GDPR. Even if the Contentious Chamber were to follow the defendant's argument, it recalls that the defendant had been alerted to the situation twice: first, by being subject to an investigation by the SI (in the context of another case), and second, by the invitation to the hearing sent by the Contentious Chamber. In such a context, continuing to claim that the DPO is responsible raises serious doubts about the defendant's management of its obligations under the GDPR and questions its ability to comply with these obligations.

iii. By using "code 43," the defendant demonstrated a lack of control over its own codes and nomenclatures, which led to a limitation of processing instead of adequately responding to the complainant's requests for erasure and opposition. Such a lack of control is concerning. Furthermore, the defendant was unable to determine the existing link between itself and the German subcontractor before concluding the existence of a subcontracting agreement. This confusion regarding the role of the subcontractor and the inability to determine whether the data had been erased raises serious concerns.

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doubts regarding the management of future requests from the data subjects and compliance with Articles 15 to 22 of the GDPR.

d) Other aggravating and mitigating circumstances (Article 83.2.k of the GDPR): at the time of the hearing, the defendant had still not responded to the complainant's requests, despite the obligation to reply within one month.

As for the remaining aspects, particularly the categories of personal data involved in the breach (Article 83.2.g of the GDPR) or the measures taken to mitigate the harm suffered by the complainant (Article 83.2.c of the GDPR), the Contentious Chamber refers the defendant to Titles II.2 and III.3.2.2 of this decision, as well as to the summary in section III.3.2.2.7. All factors listed in Article 83.2, points a) to k), have been examined, and it appears that the outcome of this examination ultimately applies in this case to justify the imposition of the fine as well as its amount.

107. The defendant has thus adopted behavior resulting in several violations of the provisions of the GDPR (Article 83.3 of the GDPR), these violations being specifically identified in Article 83.5 of the GDPR⁴²: Non-compliance for a significant period with the complainant's requests for erasure and objection, leading to the continued processing of his personal data for direct marketing purposes, even after his requests for erasure and objection; and highlighting the absence of safeguards to ensure compliance with the fundamental principles of the GDPR.

108. These elements fully justify the imposition of an administrative fine to ensure the respect of the rights of data subjects and to strengthen the deterrent effect of the sanctions provided for by the GDPR.

III.3.2.2.

Starting amount of the calculation

109. To determine the amount of the fine in the case before it, the Contentious

Chamber recalls that it takes into account the EDPB guidelines on the calculation of administrative fines⁴³.

110. In order to impose an effective, proportionate, and deterrent fine in any case, the supervisory authorities, of which the Contentious Chamber is a part, are expected to adjust administrative fines while remaining within the range provided in the EDPB guidelines up to the maximum legal amount. This may lead to significant increases or decreases in the fine, depending on the circumstances of the case.

42 CJEU, Judgment of December 5, 2023, *Deutsche Wohnen*, C-807/21, ECLI:EU:C:2023:950, paragraphs 61 to 79.

43 EDPB - Guidelines 04/2022 on the calculation of administrative fines under the GDPR (v2.1), adopted on May 24, 2023 (v2.1), notably paragraphs 49 and 50.

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III.3.2.2.1.

Classification of violations under Articles 83.4 and 83.5 of the GDPR

111. The GDPR distinguishes between two categories of violations: those punishable under Article 83.4 of the GDPR, on the one hand, and those punishable under Articles 83.5 and 83.6 of the GDPR, on the other hand. The first category of violations incurs a maximum fine of 10 million EUR or 2% of the annual turnover of the company, with the higher amount being retained. As for the second category, it can lead to a maximum fine of 20 million EUR or 4% of the annual turnover of the company, with the higher amount also being retained.

112. In this case and based on the violations stated in Title III.2 of this decision, the Contentious Chamber finds that the higher fine applies in accordance with Article 83.5 of the GDPR. Indeed, in the event of a violation of the basic principles of processing under Article 5 of the GDPR as well as the rights of data subjects under Articles 17 and 21 of the GDPR, the Contentious Chamber may impose an administrative fine of up to 20,000,000 EUR or, in the case of a company, up to 4% of its total global annual turnover for the previous financial year, with the higher amount being retained, as provided for in the provisions of Article 83.5.a) and b) of the GDPR.

III.3.2.2.2.

Severity of the violation in the case at hand

113. Nature, severity, and duration of the violation (Article 83.2.a) of the GDPR) – The case submitted to the Contentious Chamber concerns a prolonged violation of the essential provisions of the GDPR, which aim to protect the fundamental rights of individuals regarding the processing of their personal data. The GDPR establishes a robust framework of accountability for data controllers, particularly in Chapter III, which is dedicated to the rights of data subjects. These rights, set out in Articles 15 to 22, grant individuals direct control over their personal data, thereby ensuring effective protection of their privacy. Thus, violations of Articles 17 and 21 of the GDPR are particularly serious as they infringe upon the fundamental rights of individuals in terms of personal data protection.

114. Despite the rights exercised by the complainant, who expressly requested the erasure of his personal data and objected to processing for direct marketing purposes, the defendant did not respond to these requests for more than a year, thereby failing to meet its obligations enshrined in the GDPR. This behavior resulted in the continued processing of the complainant's data for direct marketing purposes, whether through telephone calls or the sending of advertising emails, over a period of six to ten months, even after his requests for erasure and objection, thus violating the principles set out in Article 5.1.a) of the GDPR.

115. In response to the sanction form and thus after the closure of the debates, the defendant emphasizes that the complainant did not "explicitly mention Article 21 of the GDPR in their request." On this point, the Contentious Chamber, on the one hand, refers the defendant to paragraph 34 of this decision, and on the other hand, adds that it would be excessive to require a data subject to explicitly mention the articles of the GDPR, as this could make the exercise of rights more difficult for individuals who are not familiar with legal terminology. The essential requirement is that the request is made in a clear and understandable manner, which a data controller or their DPO should be able to clarify in case of doubt, and thus handle it in accordance with the provisions of the GDPR.

Subsequently, the defendant points out that after responding to the deletion request based on Articles 17.a), b), and c) of the GDPR, there is no additional obligation to notify the data subject regarding the further use of the data for direct marketing purposes. Unfortunately, as noted by the Contentious Chamber, the defendant delayed in responding to the complainant's deletion request, which allowed the continued processing of data for direct marketing purposes for a significant period, contrary to their opposition request.

Even following the reasoning of the defendant, according to which the complainant only made a deletion request without an explicit mention of Article 21 of the GDPR concerning the right to object to the processing of data for prospecting purposes, the Contentious Chamber emphasizes that the right to deletion was ignored for more than a year, thus resulting in a continuous violation of the complainant's rights. This finding is crucial, as even in the absence of an explicit mention of Article 21, the processing of data for prospecting purposes – as well as for other purposes – should have been interrupted upon receipt of the deletion request. Therefore, the continued processing of the complainant's data for direct marketing purposes – even following the defendant's arguments that this period was only 2 weeks (see point 118) – violates the complainant's rights. For the remainder, the Contentious Chamber refers the defendant to paragraph 36 of this decision.

116. The Contentious Chamber emphasizes that direct marketing is crucial for the core activities of the defendant, who sells its products on a national scale. The processing of data for direct marketing purposes thus represents an essential component of its business model, directly affecting its customer relationship and therefore its revenue. Non-compliance with the rights enshrined in the GDPR, such as the rights to deletion and opposition, can lead to detrimental consequences for the privacy of the data subjects. This results in exposure to advertisements.

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targeted and intrusive, as well as by disruptions in their daily lives caused by unsolicited phone calls or emails.

117. It emerges from the hearing that the use of incorrect codes was systematic and does not appear to be limited to the complainant. However, the number of individuals whose data may have been processed in violation of the aforementioned provisions (see Title II.2) remains unknown.

Consequently, the Enforcement Chamber cannot determine the exact number of affected individuals, which could have confirmed the systemic nature of the aforementioned violations and increased their severity. Thus, the Enforcement Chamber limits its examination to the case of the complainant, the only identified individual affected by the violation of the relevant provisions.

In response to the sanction form, the defendant confirms that the violation only affected a single concerned individual and that it was limited to a single territory, namely Belgium.

118. Regarding the duration of the violation (see Title II, as well as paragraph 61 of this decision), the Enforcement Chamber notes that it lasted for a significant period, which increases the severity of the infringement.

In response to the sanction form, the defendant emphasizes that the impact on the concerned individual during this period was very limited since the complainant allegedly received only a few advertising messages by email and a limited number of attempts at telephone contact, namely “+/- 5 during a very limited period of 2 weeks at most (24.11.2022 – 7.12.2022)”⁴⁴. The Enforcement Chamber refers the defendant to points 8, 21, 30, 31, 33, and 42 of this decision, highlighting that the defendant only promised to respond to the complainant's requests dated June 30, 2022, on November 3, 2023. This period of silence is undeniably long and does not comply with the one-month deadline

provided for in Article 12 of the GDPR. Finally, the Enforcement Chamber notes that the defendant only implemented "code 43" to delete the complainant's data on April 11, 2023 (see point 33). This suggests that the complainant's data was not deleted but remained accessible and was processed, even in a limited manner, at least until April 2023, and not until December 2022 (see points 32, 33, 40, 43, 42). In this context, the question of the duration of the violation remains factually objective, allowing the Enforcement Chamber to conclude that the infringement period is significant.

119. Negligence or intentional nature of the violation (art. 83.2.b) of the GDPR) – Several elements indicate a manifest negligence on the part of the defendant in managing the requests of the concerned individuals. On the one hand, the prolonged non-compliance with

44 Defendant's response to the sanction form dated April 5, 2024, p.7.

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requests for erasure and opposition from the complainant, notably by failing to respond within the prescribed deadlines; as well as the inappropriate use of "code 43" which resulted in a limitation of processing, reveal not only the unsuitability of the internal procedures but also a lack of awareness of the rights set out in Articles 15 to 22 of the GDPR and the obligations incumbent upon the data controller.

120. This negligence is exacerbated by the prolonged retention of the complainant's data for direct marketing purposes, even after his requests for erasure and opposition. At the time of the hearing, the defendant had still not taken appropriate measures to remedy the situation and respond to the complainant's request for erasure and opposition, which demonstrates the serious and persistent nature of the violation.

121. All of these elements illustrate a serious negligence in the management of the complainant's requests, indicating that the violation of Articles 17, 21, 5.1.a) and 5.2 in conjunction with 24 of the GDPR effectively stems from the negligence of the defendant.

122. In response to the sanction form, the defendant emphasizes that it was not negligent as it relied on its DPO, who did not inform it of its resource issues. Furthermore, since only the DPO had access to the email inbox and the defendant was not the recipient of the initial correspondence sent by email to the former DPO, it believes it cannot be accused of negligence. However, the Litigation Chamber reminds the defendant that it received a registered letter dated January 17, 2023 (see point 9). The Litigation Chamber then refers the defendant to points 54 to 57 of this decision before adding that, in accordance with Article 38.b) of the GDPR which states that "The data protection officer shall report directly to the highest management level of the data controller or the processor," the defendant could have identified and resolved the issues rather than placing blind trust in the DPO. Consequently, the Litigation Chamber cannot accept the arguments put forward by the defendant for the aforementioned reasons (Title II.I.3, particularly points 55 and 57.c) of this decision). The Litigation Chamber confirms that serious negligence in the management of the complainant's requests is established, indicating that the violation of Articles 17, 21, 5.1.a) and 5.2 in conjunction with 24 of the GDPR indeed arises from the negligence of the defendant.

123. Categories of personal data concerned by the violation (Article 83, paragraph 2, point g) of the GDPR) – The data in question concerns the complainant's contact details, including his name, first name, postal address, phone number, and email address. Although this information is not considered "sensitive data" within the meaning of Article 9 of the GDPR, it allows for the identification or contact of a specific individual.

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124. Classification of the severity of the violation and determination of the appropriate starting amount

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The assessment of the above elements – namely the nature, severity, and duration of the violation, as well as the deliberate or negligent nature of the violation and the categories of personal data concerned – allows for the determination of the overall severity of the violation. According to this evaluation, the severity of the violation can be classified as "low," "medium," or "high."

a) For violations classified as low severity, when calculating the administrative fine, the supervisory authority sets a starting amount for subsequent calculation between 0 and 10% of the applicable

maximum legal amount.

b) For violations classified as medium severity, when calculating the administrative fine, the supervisory authority sets a starting amount for subsequent calculation between 10 and 20% of the applicable maximum legal amount.

c) For violations classified as high severity, when calculating the administrative fine, the supervisory authority sets a starting amount for subsequent calculation between 20 and 100% of the applicable maximum legal amount.

125. In this case, the severity of the violation is considered "medium," for the reasons summarized below: the complainant's rights to erasure and objection were not respected; the principle stated in Article 5.1.a) of the GDPR was not respected; the violation persisted for an extended period, of at least one year; several elements reveal a manifest negligence on the part of the defendant, which aggravates the severity of the offense; although the data in question are not considered sensitive, they constitute identification or contact information.

126. In this context, it is difficult to argue that the degree of the violation is "low," but rather that it is "medium" or "high." It should also be taken into account that only one person is affected by this violation. This circumstance allows the Contentious Chamber to deduce that the violation has a "medium" severity.

127. In response to the sanction form, the defendant requests that the violations be reclassified as "low" rather than "medium." Furthermore, it emphasizes that the former DPO took measures and communicated with the APD in April 2023: apparently, the former DPO was mistakenly convinced that their communication in the context of the inspection they were subject to (see Title II.1.1) would be included in the file currently being processed by the Contentious Chamber. The Contentious Chamber cannot accept the argument that a response to the SI could be interpreted as a response to the requests made under Articles 15 to 22 of the GDPR, as prescribed by Article 12 of the GDPR, which mentions

45 EDPB - Guidelines 04/2022 on the calculation of administrative fines under the GDPR (v2.0, May 24, 2023), fn. 60.

46 See in particular Title III.3.2.2.2 of this decision.

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a direct response to the individuals concerned. Otherwise, a violation could be remedied pending the referral of a potential violation to a supervisory authority by way of complaint or on its own initiative. This conclusion is not only legally erroneous but would also deprive the exercise of rights by the individuals concerned of its substance. In this context, it is difficult for the Contentious Chamber to qualify the violation as "minor," thus confirming once again the "medium" nature of the violation.

128. Consequently, the Contentious Chamber should apply, for the violations arising from the unique behavior of the defendant (falling under Article 83.5 of the GDPR, with a medium severity), a theoretical starting amount for the subsequent calculation of the administrative fine between €2,000,000 and €4,000,000.

129. Considering the circumstances assessed in light of Article 83.2 a), b), and g) of the GDPR, the Contentious Chamber decides to consider a theoretical starting amount of €2,000,000.

III.3.2.2.3.

Turnover of the data controller and additional considerations taken into account by the Contentious Chamber to determine the amount of the fine

130. The GDPR requires each supervisory authority to ensure that the administrative fines imposed are effective, proportionate, and dissuasive in each specific case (Article 83.1 of the GDPR).

131. To achieve this, supervisory authorities should apply the definition of the concept of an undertaking as adopted by the Court of Justice of the European Union (hereinafter "CJEU") for the purposes of Articles 101 and 102 TFEU, namely that the concept of an undertaking is understood as an economic unit that may be constituted by the parent company and all relevant subsidiaries. In accordance with EU law and jurisprudence, an undertaking must therefore be considered as an economic unit engaging in commercial/economic activities, regardless of its legal form. The objective is to ensure that sanctions are appropriate to the size and economic power of the undertaking.

132. Supervisory authorities are expected to adjust administrative fines based on the severity of the violation while respecting the range provided in the guidelines.

47 Recital 150 of the GDPR; Guidelines WP 253, pp. 6-7. The CJEU jurisprudence provides the following definition: "the concept of an undertaking covers any entity engaged in economic activity, irrespective of its legal status and the way it is financed" (Case C-41/90, Höfner and Elser/Macrotron, ECLI:EU:C:1991:161, paragraph 21). The concept of an undertaking "should be understood as designating an economic unit, even if this economic unit is legally constituted by different natural or legal persons" (Case C-217/05, Confederación Española de Empresarios de Estaciones de Servicio, ECLI:EU:C:2006:784, paragraph 40); CJEU, September 10, 2009, C-97/08 P, Akzo Nobel nv et al. v. Commission, ECLI:EU:C:2009:536, paragraphs 60-61.

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of the EDPB up to the maximum legal amount. This may lead to significant increases or decreases in the fine, depending on the circumstances of the case.

133. Furthermore, Articles 83.4, 83.5, and 83.6 of the GDPR provide that the total global annual turnover of the previous financial year must be used to calculate the administrative fine. In this regard, the term "previous" must be interpreted in accordance with the case law of the CJEU in competition law, so that the relevant event for calculating the fine is the decision of the supervisory authority regarding the fine, and not the time of the sanctioned infringement.

134. Consequently, following the above, the Contentious Chamber considers that it can rely on the consolidated turnover of the defendant for the financial year 2023, which is more than 50,000,000 EUR, to determine the amount of the administrative fine it intends to impose on the defendant. The Contentious Chamber hereby refers to the annual accounts of the defendant (Company Y) as filed with the National Bank of Belgium (BNB) on September 25, 2023, showing a turnover of more than 50,000,000 EUR for the financial year 2023.

135. Taking into account the minimum and maximum amounts per level set out in the guidelines, on the one hand, and the annual turnover of the data controller, on the other hand, the Contentious Chamber concretely decides to lower the starting amount for the category of infringements (falling under Article 83.5 of the GDPR, with a medium degree of severity) to an adjusted starting amount of 245,000 EUR.

III.3.2.2.4.

Aggravating and mitigating circumstances

136. In light of Article 83 of the GDPR, the Contentious Chamber must also justify the imposition of an administrative fine and its amount in concrete terms, taking into account other aggravating or mitigating circumstances listed in Article 83.2 of the GDPR:

a) Measures taken to mitigate the damage suffered by the complainant (Article 83.2.c of the GDPR)

i. Regarding the measures taken to mitigate the damage suffered by the complainant, the Contentious Chamber acknowledges the efforts made by the defendant to address the issues encountered with the former DPO, particularly by responding to his inaction or incompetence. This was realized through the establishment of a new team dedicated to managing the requests of data subjects as well as any issues related to data protection. The objective of this initiative is to enhance the defendant's responsiveness regarding data protection and to ensure its compliance with the GDPR.

ii. Nevertheless, it should be noted that the Contentious Chamber emphasizes that the defendant had an annual turnover of more than 50,000,000 EUR for the financial year 2023, which illustrates that it had the necessary financial means to establish and set up a team dedicated to managing the requests of data subjects as well as any issues related to data protection, consisting of more than one person. Similarly, these financial resources could have allowed for a quicker response to the incompetence of its former DPO.

iii. Furthermore, the Contentious Chamber takes into account the commitment made by the defendant during the hearing, where it pledged to regularize the situation in accordance with Article 17 of the GDPR and to inform the complainant of the deletion of his data. The Contentious Chamber emphasizes that this commitment only covered part of the complainant's requests (for the record, a request for deletion and opposition), which raises concerns about the defendant's overall commitment

to fully respect the rights of data subjects.

iv. Although measures have been taken to remedy previous issues with the former DPO and to regularize the situation, there remain gaps in the defendant's response to the complainant's requests.

b) Degree of responsibility of the defendant considering the technical and organizational measures implemented in accordance with Article 25 (Article 83.2.d of the GDPR)

i. The Contentious Chamber, assessing the level of responsibility of the defendant, finds that it is fully responsible for managing the requests of data subjects, including the requests for deletion and opposition from the complainant.

51 The annual accounts of Company Y, filed with the National Bank of Belgium (BNB), reveal a growing turnover: ([.. EUR] EUR on February 29, 2020, [.. EUR] on February 28, 2021, [.. EUR] on February 28, 2022. With a turnover consistently exceeding 50 million euros during this period, it is evident that the defendant had the financial resources necessary to establish a team or department (including several employees and/or DPO) dedicated to managing the requests of data subjects and data protection issues. Annual account available at: <https://consult.cbso.nbb.be/consult-enterprise>.

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ii. This responsibility encompasses various aspects, including the effectiveness of executing requests, the definition of specific codes to appropriately respond to requests made under Articles 15 to 22 of the GDPR, as well as the understanding and implementation of clear and effective procedures by all staff, from directors to internal personnel.

iii. The defendant, by using "code 43," demonstrated a lack of mastery over its own codes and nomenclatures, which resulted in a limitation of processing instead of adequately responding to the complainant's requests for erasure and objection. Furthermore, the failure to respond to the complainant's requests for more than a year after the exercise of their rights indicates an excessively long waiting period for processing requests, but above all, it leads the defendant to process data in contradiction with the fundamental principles of the GDPR stated in Article 5 of the GDPR.

c) Other aggravating and mitigating circumstances (Article 83.2.k of the GDPR)

i. Regarding aggravating circumstances, the Litigation Chamber notes that at the time of the hearing, the defendant still had not responded to the complainant's requests, despite being aware of the obligation to respond within one month to all requests made under Articles 15 to 22 of the GDPR, in accordance with Article 12 of the GDPR and the principles of transparency and fairness set out in Article 5.1.a of the GDPR. Moreover, the Litigation Chamber emphasizes that the defendant only committed to regularizing the situation in accordance with Article 17 of the GDPR, without mentioning Article 21 of the GDPR, which concerns the right to object to the processing of personal data. This omission raises concerns about the defendant's commitment to fully respect the rights of data subjects, as provided for by the GDPR.

137. The assessment of the elements listed in Article 83.2 of the GDPR – namely the measures taken to mitigate the damage suffered by the complainant; the degree of responsibility and any other aggravating and mitigating circumstances – do not serve to increase or decrease the amount of the administrative fine.

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III.3.2.2.5.

Effective, proportionate, and deterrent nature

138. The EDPB guidelines remind that the administrative fine for violations of the GDPR referred to in Articles 83.4 to 83.6 must be effective, proportionate, and deterrent in each specific case. Supervisory authorities must verify whether the amount meets these criteria and adjust if necessary.

139. Effective nature – A fine is deemed effective if it achieves the objectives for which it was imposed, such as restoring compliance with the rules, sanctioning unlawful behaviors, or both. In this case, the fine acts as an essential tool to restore compliance with GDPR rules by sanctioning the negligent and serious behavior of the defendant. Furthermore, it aims to deter other similar violations in the future. The prolonged violation of the complainant's fundamental rights, despite their requests for erasure and objection, demonstrates the need for a firm response from the Litigation Chamber. Thus, a fine of EUR 245,000 constitutes an effective measure to achieve these objectives, while taking into account the

severity of the violation.

140. Proportionality – The principle of proportionality, as defined in the GDPR, states that the measures adopted should not exceed what is appropriate and necessary to achieve the legitimate objectives of the regulation in question. In the case of fines, this means that their amount should not be disproportionate in relation to the intended goals, the severity of the violation, as well as the size and financial capacity of the concerned company. Therefore, supervisory authorities must ensure that the amount of the fine is proportionate to the violation, assessed as a whole, taking into account various factors such as the financial capacity of the company to pay.

141. In certain exceptional circumstances, a reduction of the fine may be considered if imposing it would irreparably endanger the economic viability of the concerned company. This possibility is conceivable when objective evidence demonstrates an inability to pay. Furthermore, it is essential to analyze the risks by considering the specific social and economic context.

142. In this case, several criteria, such as the financial capacity of the defendant and the economic and social context in which it operates, indicate that the proposed fine is proportionate:

52 EDPB Guidelines WP 253, p. 6.

53 See the development regarding the "deterrent nature" of this decision, starting from paragraph 145.

54 Case T-704/14, *Marine Harvest/Commission*, paragraph 580, referring to case T-332/09, *Electrabel/Commission*, paragraph 279.

55 See, for this purpose, case C-387/97, *Commission/Greece*, paragraph 90, and case C-278/01, *Commission/Spain*, paragraph 41, in which the fine had to be "on the one hand, adapted to the circumstances and, on the other hand, proportionate to the established infringement as well as to the financial capacity of the concerned Member State."

56 EDPB - Guidelines 04/2022 on the calculation of administrative fines under the GDPR (v2.1), paragraph 140.

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a) Economic viability and financial capacity of the company: With a consolidated annual turnover of over 50,000,000 EUR for the fiscal year 2023⁵⁷, the defendant has sufficient financial capacity to bear the proposed fine without compromising its economic viability. Therefore, a fine of 245,000 EUR remains proportionate in relation to this financial capacity. This measure thus remains sufficiently deterrent without compromising the economic integrity of the company.

b) Evidence of loss of value: There is no indication that the imposition of the fine would jeopardize the viability of the company, leading to a significant loss of the value of its assets or threatening its ability to continue its operations in a viable manner. There must be a direct link between the fine and this loss of value, and it is not automatically accepted that bankruptcy or insolvency leads to such a loss. In the absence of tangible evidence demonstrating this correlation, a reduction of the fine may not be justified.

c) Economic and social context: The defendant operates in the "... products sector in Belgium. Furthermore, the defendant distributes its products throughout the country, suggesting that it is not solely dependent on the local economic situation. This national presence also reduces its reliance on the local workforce. Therefore, it is unlikely that the payment of the fine would have a significant impact on the economy or social fabric, given that the defendant operates on a national scale and is not entirely tied to a specific region.

143. In response to the sanction form, the defendant requests a reduction in the amount of the fine due to the exceptional circumstances it has encountered over the past five years, attributable to external factors over which it had no control. These conditions have affected its turnover, costs, and profitability.

144. The defendant then outlines its financial evolution from 2019 to 2022, marked by negative revenue growth and losses in 2019, an increase in 2020 despite rising costs, a decrease in turnover and losses in 2021, and further deterioration in 2022 due to the economic crisis, leading to another reduction in turnover and financial losses. For the current fiscal year 2023-2024, the defendant still anticipates a significant financial loss, with prospects of a difficult financial recovery until 2026-2027. In light of this

57 As a reminder, the annual accounts of company Y, filed with the National Bank of Belgium (BNB), reveal a growing turnover: [.. EUR] on February 29, 2020, [.. EUR] on February 28, 2021, and [.. EUR] on February 28, 2022. With a turnover consistently exceeding 50 million euros during this period, it is evident that the defendant had the financial resources necessary to establish a team or department (including several employees and/or DPO) dedicated to managing requests from data subjects and data protection issues.; Annual account available on the site:

<https://consult.cbso.nbb.be/consult-enterprise>.

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In a difficult financial situation, a fine of 245,000 EUR would have devastating consequences for the defendant. This would compromise the implementation of the necessary reorganization measures to ensure its future viability, jeopardizing the jobs of 400 people and even risking the cessation of activities in Belgium.

145. Taking all these circumstances into account, the Contentious Chamber agrees that a reduction in the amount of the fine appears appropriate to support the defendant and prevent jeopardizing the jobs of 400 people as well as the continuity of activities in Belgium.

146. To reach this conclusion, it seems pertinent for the Contentious Chamber to consider two essential elements: on the one hand, the use of shareholder contributions; on the other hand, the assessment of cumulative losses over a three-year period (2023-2024, 2024-2025, 2025-2026) to reduce the amount of the initial fine. This approach aims to adequately consider the actual financial capacity of the defendant to bear this administrative sanction.

147. The Contentious Chamber notes that the shareholders have injected a cash contribution of over 3,000,000 EUR, an amount established by taking into account past, present, and future losses, as well as other financial commitments that the defendant will have to meet, in order to ensure the financial recovery planned for 2026-2027⁵⁸. Furthermore, the Contentious Chamber emphasizes that the defendant seems to have anticipated the risk of a potential fine, as indicated by the Auditor in the following terms: “we draw attention to note VOL - inb 6.19 of the financial statements ('risks') which describes the uncertainty related to the resolution of the GBA investigation. The outcome of this investigation could have a significant impact on the financial situation of the company.”

148. Next, the Contentious Chamber finds it relevant to assess the cumulative losses over a three-year period (2023-2024, 2024-2025, 2025-2026) since the shareholders have made a cash contribution of over 3,000,000 EUR based on a multi-year strategic planning presented in October 2023 (see paragraph 147), aimed at ensuring the financial recovery planned for 2026-2027. It is important to note that the projected losses for the years 2024-2025 and 2025-2026 are hypothetical, and that the year 2024-2025 recorded the highest loss since 2019 (...EUR).

149. In this context, the Contentious Chamber, as mentioned previously in its paragraph 145, finds it appropriate to reduce the amount of the fine by applying the remaining percentage of the over 3,000,000 EUR contributed by the shareholders, after excluding the cumulative losses over a three-year period in relation to this contribution, periods

58The defendant mentions in its email of April 5, 2024, that a multi-year strategic planning was presented to the shareholders in October 2023, resulting in a cash contribution of over 3,000,000 EUR from the shareholders in February 2024; page 5 of the email sent by their Counsel in response to the sanction form.

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for the most part hypothetical. This approach aims to align the reduction of the initial fine with the financial situation of the defendant. Thus, the Contentious Chamber believes it has correctly assessed the financial impact of the fine in relation to the funds provided by the shareholders, and considers that the reduction of at least 30% of the initial fine takes into account the actual financial capacity of the defendant to bear the administrative fine.

150. Following the previous reasoning, the Contentious Chamber objectively reduces the fine from 245,000 EUR to 172,431 EUR: The loss for the year 2023-2024 amounts to [.. EUR], while the anticipated loss for the year 2024-2025 is [.. EUR], and the anticipated loss for the year 2025-2026 is [.. EUR]. By adding these losses, the cumulative loss for the year 2023-2024, as well as those

anticipated for the years 2024-2025 and 2025-2026, represents a total of over 1,000,000 EUR [(-.. EUR)] + [(-.. EUR)] + [(-.. EUR)] = more than 1,000,000 EUR. The contribution from shareholders to ensure viability is over 3,000,000 EUR. The percentage of the cumulative loss over a three-year period, namely 2023-2024, 2024-2025, and 2025-2026 (the last two years being hypothetical) in relation to the shareholders' contribution amounts to approximately 30% [(more than 1,000,000 EUR / more than 3,000,000 EUR) * 100 = approximately 30%]. After deducting the cumulative loss over a three-year period, it is established that the defendant still holds approximately 70% of the more than 3,000,000 EUR contributed by the shareholders.

151. Consequently, the Contentious Chamber decides to apply the percentage of the cumulative loss over a three-year period (2023-2024, 2024-2025, and 2025-2026, the last two years being hypothetical) as a percentage reduction to the initial amount of the fine in order to determine the new amount.

Taking into account all the specific circumstances surrounding the economic viability and financial capacity of the defendant, this represents approximately 30% of the 245,000 EUR, which amounts to a reduction of more than 70,000 EUR. Thus, the new amount of the fine is set at 172,431 EUR, which corresponds to a reduction of about 30% compared to the initial amount. Furthermore, the Contentious Chamber emphasizes that the impact of this fine on a shareholder contribution established based on forecasts until 2026-2027 (see point 148) is minimal, representing only 4%.

Considering these factors, the Contentious Chamber believes that the reduction of the fine from 245,000 EUR to 172,431 EUR is a proportionate measure to sanction the violations identified in this case.

152. Deterrent Effect – The deterrent effect of fines is crucial to ensure compliance with the rules established by Union law, particularly in the GDPR. This deterrent effect can manifest in two ways: general deterrence, which aims to discourage other data controllers from committing the same violation in the future,

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and specific deterrence, which aims to deter the data controllers concerned by the fine from violating the rules again in the future. A fine must be sufficiently deterrent so that data controllers fear that the supervisory authorities will effectively impose fines in case of violation of the GDPR.

153. Several factors determine the deterrent nature of a fine: the nature and amount of the fine, as well as the likelihood of its imposition, are key elements in this regard. A fine must be sufficiently high to have a significant financial impact on the offending company, while remaining proportionate to the severity of the violation. In other words, the criterion of deterrence overlaps with that of effectiveness.

154. If a supervisory authority considers that a fine is not sufficiently deterrent, it may consider increasing it. In some cases, it may even apply a deterrent multiplier to enhance its deterrent effect. This multiplier can be adjusted at the discretion of the supervisory authority to ensure that the deterrent objectives are fully achieved.

155. In this case, the fine of EUR 172,431 imposed on the defendant aims to deter the defendant from reoffending in the violation of the GDPR rules. Furthermore, it also seeks to deter other companies from committing similar violations. This fine, proportionate to the severity of the violation⁵⁹ and taking into account the defendant's turnover, is designed to have both a specific and general deterrent effect.

156. Considering all of the aforementioned factors, the fine of EUR 172,431 appears to meet the necessary deterrent character to ensure compliance with the GDPR.

III.3.2.2.6.

In summary

157. First, the Contentious Chamber finds that the defendant, whose turnover exceeds EUR 50,000,000, did not comply for a significant period with requests for erasure and opposition from a complainant, resulting in the continued processing of their personal data for direct marketing purposes, highlighting the lack of safeguards to ensure compliance with the fundamental principles of the GDPR, thereby violating Articles 17, 21, 5.1.a), and 5.2 in conjunction with 24 of the GDPR.

158. Then, after analyzing all relevant circumstances of the case under Article 83.2, a), b) and g) of the GDPR, the Contentious Chamber deemed the violation to be of "medium" severity⁶⁰. To determine the starting amount, the violation of Articles 5, 17, and 21 of the GDPR is listed in Article 83.5, a) and b) of

the GDPR, which states that the maximum legal amount is EUR 20 million (EUR 20,000,000) or 4% of the turnover.

59 See in particular Title III.3.2.2.2. of this decision.

60 See in particular Title III.3.2.2.2. of this decision.

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of total global annual turnover for the previous financial year. In this case, the defendant's turnover being less than 500 million EUR, the maximum amount and the fixed range apply. Therefore, a starting amount between 10% and 20% of the applicable maximum legal amount, that is between 2 and 4 million EUR, is considered. Given that the violation is deemed moderate, the Contentious Chamber decides that the starting amount set according to the severity of the violation will be 2,000,000 EUR (2 million EUR).

159. Then, the starting amount set at step 1 is adjusted based on the size of the company. The defendant has an annual turnover of more than 50,000,000 EUR for the financial year 2023, falling within the range of 50 to 100 million EUR. This results in an adjustment of the starting amount to an amount between 8% and 20%. Given that the defendant's turnover is high within this range, the Contentious Chamber decides that an adjustment up to 12.25% of the starting amount set at step 1 is justified, thus bringing the adjusted starting amount to 245,000 EUR in this case.

160. To ensure that this adjusted starting amount is in compliance with the guidelines, it is compared with the ranges listed in the applicable table available in the EDPB guidelines. Since Article 83.5 of the GDPR is applicable, the defendant has a turnover between 50 and 100 million EUR, and the degree of severity is moderate, the starting amount should be between 160,000 and 800,000 EUR. The Contentious Chamber concludes that a starting amount of 245,000 EUR falls within this range, and therefore it is in compliance with the guidelines.

161. Considering Article 83 of the GDPR, the Contentious Chamber must also justify the imposition of an administrative fine in concrete terms, taking into account other aggravating or mitigating circumstances listed in Article 83.2 of the GDPR. However, the assessment of these elements does not justify either an increase or a decrease in the amount of the administrative fine. Furthermore, the Contentious Chamber must also justify the imposition of this administrative fine in accordance with the EDPB guidelines, which emphasize that fines for violations of the GDPR must be effective, proportionate, and dissuasive in each specific case, in accordance with Articles 83.4 to 83.6 of the GDPR. The assessment of these elements justifies a reduction between the initial fine and the new amount of approximately 30%. Considering all the aforementioned factors, the reduction of the fine from 245,000 EUR to 172,431 EUR is an effective, proportionate, and dissuasive measure necessary to ensure compliance with the GDPR.

III.3.2.2.7.

The decision to impose an administrative fine

162. All the aforementioned elements justify an effective, proportionate, and dissuasive sanction under Article 83 of the GDPR, taking into account the assessment criteria set forth therein. The Contentious Chamber emphasizes that the other criteria set forth in Article 83.2 of the GDPR are not such as to lead to an administrative fine other than that determined by the Contentious Chamber in this decision.

163. The Contentious Chamber considers it justified to impose an administrative fine, given the specific circumstances as well as the position taken by the defendant regarding how the complainant's requests were handled, in order to appropriately sanction this behavior and encourage the defendant to refrain from responding to requests for the exercise of rights granted under the GDPR in this manner in the future.

164. In light of the aforementioned assessment as well as the circumstances specific to this case, the Contentious Chamber therefore considers it appropriate to impose an administrative fine of 172,431 EUR on the defendant, pursuant to Article 58.2. i) of the GDPR as well as Articles 100, § 1, 13° and 101 of the LCA, in accordance with Article 83.2 of the GDPR.

165. The Contentious Chamber considers that the amount of this fine, which remains well below the maximum amount of the authorized range, is proportionate to the severity of the violations observed in the behavior in question.

IV. Publication of the decision

166. Given the importance of transparency regarding the decision-making process of the Contentious Chamber, this decision is published on the website of the Data Protection Authority. However, it is not necessary for this purpose that the identifying data of the parties be directly communicated.

The request, accompanied by its annex, is sent, in as many copies as there are parties involved, by registered letter to the clerk of the court or filed with the registry.